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China Chemical New Materials Sector

Price hikes are the potential catalysts for MLCC/ electronic gas/wet chemicals in H226

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Higher forecast and valuation primarily reflects potential price hikes

The share prices of MLCC and electronic specialty gas companies have more than doubled YTD, reflecting market expectations for AI server demand growth, along with memory and related product price appreciation, in our view. Following the recent stock price correction, we prefer products with stronger visibility of price hikes. We expect supply-demand for high-capacitance MLCCs to remain tight in H2, as low tungsten powder exports may constrain WF6 supply, while prices for electronic-grade HF, H2SO4 and Mo/In targets may be supported by raw material costs. We rank price hike visibility from high to low as follows: MLCC materials (release film, etc.) > MLCCs > WF6 > semi wet chemicals (electronic-grade HF/H2SO4) > helium.

MLCC distributors remain upbeat; focus on upstream material price trends

Yageo recently notified customers of MLCC price increases effective on 1 July (see news report for details), covering multiple downstream sectors, including AI servers, consumer electronics, automotive and industrial. Additionally, distributors remain optimistic about MLCC price increases in H2. While we expect tight supply-demand for high-cap MLCCs to persist, consumer electronics demand remains uncertain. MLCC material orders remain robust and capacity utilization rates remain high, suggesting further upside for MLCC prices in H2, in our view.

Electronic chemical prices may benefit from reduced supply and cost support

YTD, market prices for WF6 (5N grade) have doubled to Rmb1,800/kg, mainly due to a sharp decline in China's tungsten powder (raw material for WF6) exports. We estimate Japan and South Korea currently account for 46% of global capacity. If tungsten powder exports remain low in H2, WF6 prices could climb further. Meanwhile, we expect electronic-grade HF price hikes in H2, driven by cost and demand support (see more in our note). Furthermore, electronic-grade H2SO4/H2O2 prices have trended upward. We suggest monitoring downstream semiconductor demand growth and raw material cost fluctuations.

We prefer Jiemei, Guanggang Gas, Capchem and Dongyue Group

We raise our PTs and earnings estimates for relevant companies to reflect potential price hikes (Figure 1). Within the MLCC industry chain, we prefer companies with higher price hike visibility and lower valuations; thus, we recommend Jiemei and Three-Circle. In the electronic chemical sector, Guanggang Gas H126's preliminary results beat our expectations, and we believe newly awarded projects may sustain a 40% net profit CAGR in 2027-29. We like Capchem and Dongyue following the stock price correction, with recovery in their main business and upside in electronic material business.

Figure 1: Earnings estimate and PT revisions

13-Jul-26	Rating	Price target (lcy) Current	Price target (lcy) Old	Share price Local cry	Upside %	EPS change % 26E	EPS change % 27E	EPS change % 28E	PE (x) 26E	PE (x) 27E	PE (x) 28E	EPS CAGR 26-28E	PEG (x) 26E	2026E revenue exposure to ... product with price upside		electronics
Guanggang Gas	Buy	66.00	42.00	44.27	49%	15%	6%	14%	116	79	51	52%	2.2	Helium	25%	70%
Jinhong Gas	Buy	53.00	37.00	37.48	41%	-2%	10%	15%	60	40	32	36%	1.7	Helium	30%	50%
Three Circle	Buy	160.00	159.00	111.80	43%	1%	1%	1%	56	41	32	33%	1.7	MLCC	40%	50%
Jiemei	Buy	104.00	86.00	72.58	43%	2%	3%	3%	71	49	38	37%	1.9	MLCC release film	25%	90%
Sinocera	Buy	93.00	65.00	64.01	45%	8%	9%	15%	80	57	45	33%	2.4	Ceramic powder	25%	25%
Longhua	Buy	17.00	14.20	11.87	43%	6%	17%	17%	44	32	26	29%	1.5	Mo & ITO target	30%	30%

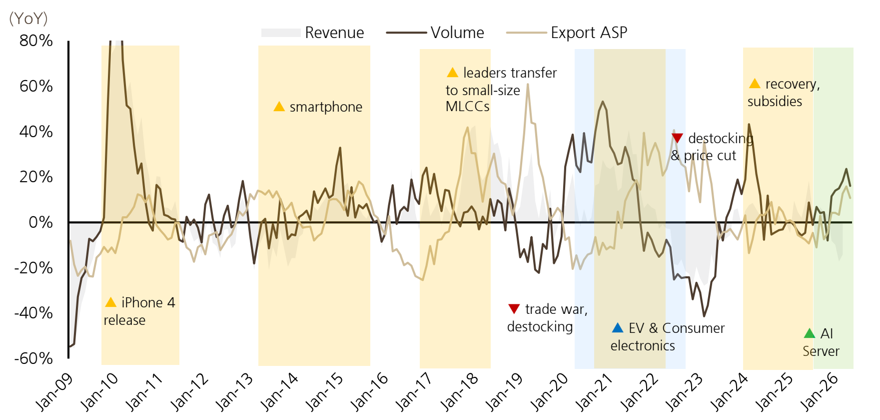
Source: Wind, UBS-S estimates. Note: Share price data as of 13 July 2026.

MLCCs: Distributors remain optimistic; high-cap MLCC supply-demand to stay tight in H2

Distributors remain optimistic; Yageo recently announced price hikes. According to Trendforce, Yageo recently notified customers of price increases for its capacitor products effective 1 July, covering MLCCs, aluminum electrolytic capacitors, tantalum capacitors, etc. This round of price hikes is mainly driven by rising manufacturing costs due to geopolitics, energy and raw material price appreciation. The price hikes span a broad range of products, with downstream segments including AI servers, consumer electronics, automotive and industrial.

On 22 May 2026, we hosted an online MLCC discussion (more in note) and invited a Southern China distributor to attend. The distributor is also optimistic about MLCC price increases in H2, given that: 1) AI server demand for high-cap MLCCs is crowding out substantial MLCC capacity, leading to overall MLCC capacity tightness; 2) distributor and end-user inventory remains low, at about one month, with major domestic MLCC manufacturers near full capacity; and 3) manufacturers are tightening low-priced MLCC supply and scaling back preferential pricing policies.

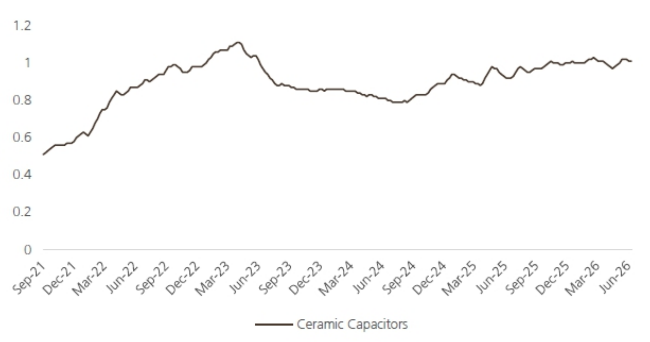
Figure 2: Japan MLCC production and export price trends



Source: METI, UBS-S

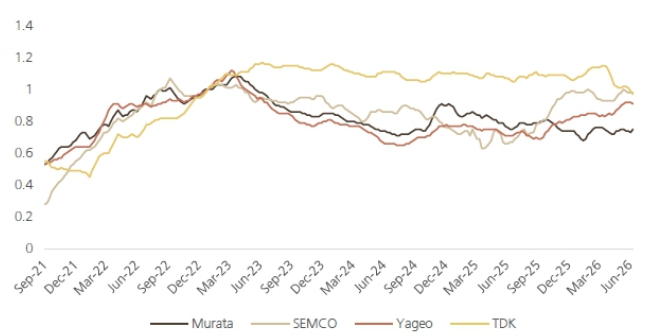
We expect high-cap MLCC supply-demand to remain tight in H226 and suggest monitoring price hike realization for upstream materials. According to Crypto Briefing, Samsung Electro-Mechanics recently secured a KRW454bn MLCC order, which the market expects may come from a leading supplier for a cloud service provider. Meanwhile, as per UBS Evidence Lab (> Access Dataset), MLCC distributors' unit inventory fell 3% as of 13 June vs. 8 May, while inventory value rose 1%; thus, we foresee MLCC supply-demand remaining tight in H226. Our recent industry check showed MLCC material suppliers are running at high utilisation rates; if MLCC demand continues to improve in H2, we would see significant upside potential for upstream material prices.

Figure 3: MLCC distributor inventory value index



Source: UBS Evidence Lab (> Access Dataset); Note: Standardized USD inventory.

Figure 4: MLCC distributor inventory value index (by manufacturer)

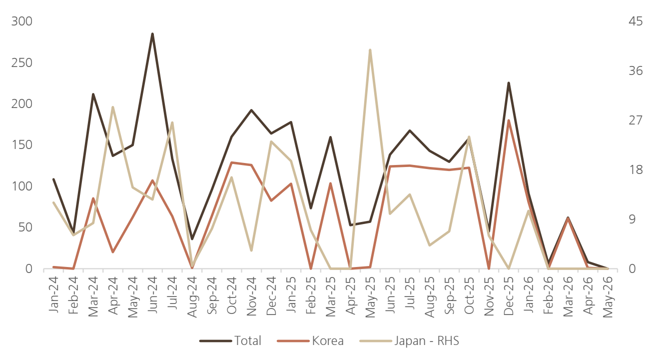


Source: UBS Evidence Lab (> Access Dataset); Note: Standardized USD inventory.

Electronic specialty gases: Monitoring WF6 raw material exports; helium prices rebounded modestly

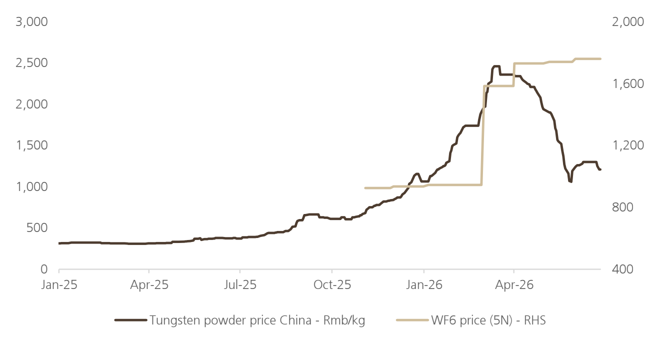
Tungsten hexafluoride (WF6) is a precursor material used in chemical vapor deposition (CVD) processes of semiconductor manufacturing, primarily to deposit metal tungsten thin film on wafer surfaces, with extensive applications in memory and logic chip fabrication. YTD, the market price for WF6 (5N grade) has surged from Rmb945/kg to Rmb1,800/kg, mainly due to a sharp drop in monthly tungsten powder (raw material for WF6) exports from China since January. According to USGS, China accounted for nearly 80% of global tungsten ore output in 2025, and is also a major producer of electronic-grade tungsten powder. Therefore, reduced exports have left Japan and South Korea WF6 capacity facing a raw material shortage.

Figure 5: China monthly tungsten powder exports (tonnes)



Source: GAC

Figure 6: WF6 (5N) and tungsten powder price trends (Rmb/kg)



Source: Wind, Oilchem

According to Peric Special Gases' prospectus, Japan accounted for c22% of global WF6 capacity in 2025, while South Korea accounted for c24%. Among domestic producers, Peric Special Gases is the largest by capacity, while Borui Zhongxiao, Haohua Chemical Science and Technology, and Nata Opto-Electronic Material each have 600-700 tonnes of WF6 capacity.

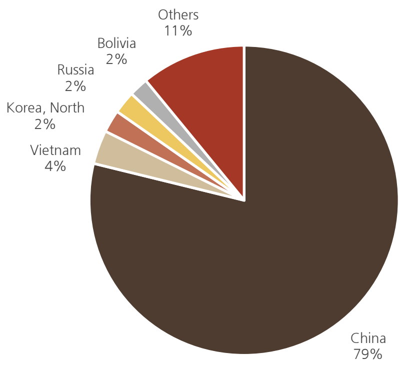
Figure 7: Major WF6 capacity summary (2025)

Overseas	Capacity t	Country	Comments
SK Material	1,800	Korea	
Kanto Denka	1,400	Japan	
Foosung	900	Korea	400t in Nantong
Central Glass	700	Japan	
Merck	600	German	
Peric gas	2,230	China	1,000t new capacity to start in H127
Borui-Central Glass	600	China	JV with Central glass
Haohua	700	China	
Nata Optic	600	China	

Source: Company data, UBS-S

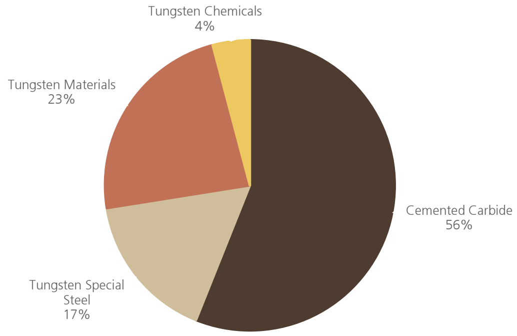
We believe upside to WF6 prices hinges on tungsten powder exports. The domestic market ASP of tungsten powder rose from Rmb1,065/kg to Rmb2,000+/kg in 4M26, although it has retreated sharply below Rmb1,200/kg since May. The WF6 (5N) price uptrend has also moderated significantly since May. Thus, we consider cost support and tungsten powder supply to be the main drivers of WF6 price fluctuations. If China's tungsten powder exports remain low, there would still be upside to WF6 prices.

Figure 8: Global Tungsten Production by Country – 2025



Source: USGS

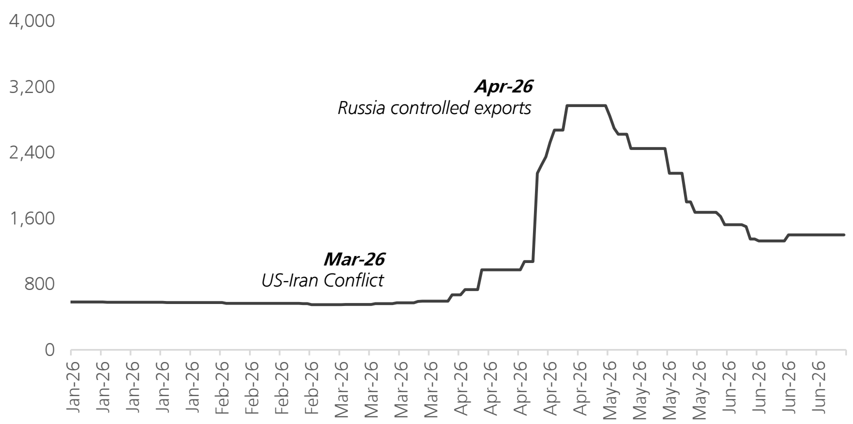
Figure 9: China Tungsten Consumption by End-Use Sector – 2023



Source: Antaike

Helium prices have rebounded slightly recently, and we expect overall stability in H226. The production halt of Qatar's helium facilities in March and Russia's helium export control in April caused China's helium retail price to rise sharply to cRmb500/cubic meter in April, although the price declined to cRmb250/cubic meter in May-June, mainly due to market expectations for Russia's supply restriction to ease. Helium prices picked up mildly amid heightening geopolitical risks recently. We foresee limited upside and downside risks for helium prices in H226, and we expect domestic market prices to stay around Rmb200-300/cubic meter (see note for details).

Figure 10: Helium price trend in China (Rmb/cylinder)



Source: Wind. Note: One cylinder holds about 6 cubic meters of helium.

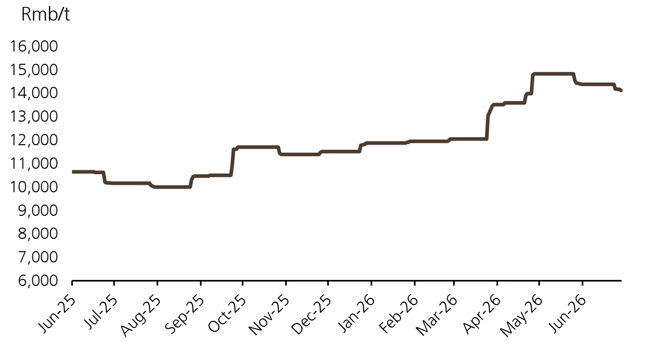
Electronic wet chemicals: Raw material cost inflation and growing demand set to drive price hikes

Electronic-grade hydrofluoric acid (EG-HF) is a key wet electronic chemical. It is an aqueous solution prepared by purifying anhydrous hydrogen fluoride and absorbing it into ultrapure water. With a 2025 market size of around Rmb4.25bn in China, EG-HF's TAM has been driven by downstream capacity expansion (eg, semis and display panels), as well as domestic substitution (see our note: Fluorochemicals: Beneficiary of AI-driven new opportunities).

We foresee a continuing price uptrend for EG-HF amid rising raw material prices and growing demand. Regarding raw materials, the price of anhydrous hydrogen fluoride in China has risen 19% YTD, mainly driven by sulfur price hikes amid the Middle East conflict. Except UPSSS-grade EG-HF, domestic market prices of other grades have gained 2-22% YTD. We think the domestic price of UPSSS-grade EG-HF is mainly subject to order cycles, and there could be pass-through of cost inflation pressure. As per Do-

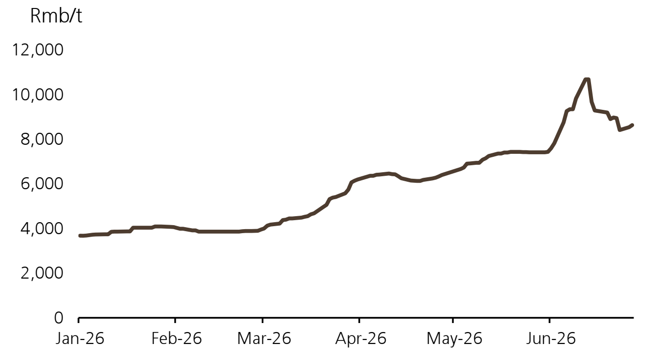
Fluoride, the market prices of semi-grade hydrofluoric acid have increased around 20-30%.

Figure 11: Price of anhydrous hydrogen fluoride in China



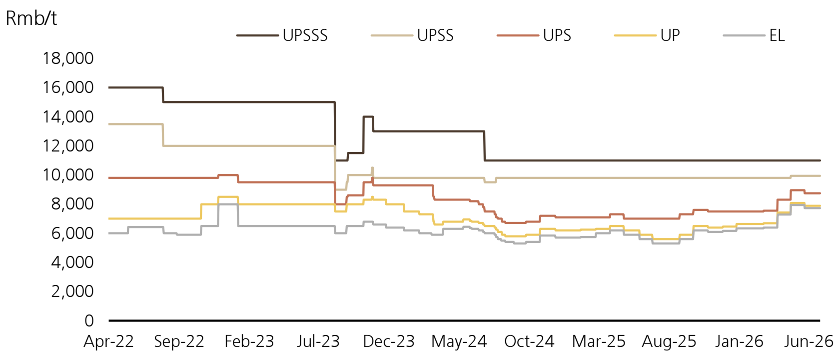
Source: Wind

Figure 12: Sulfur price in China



Source: Wind

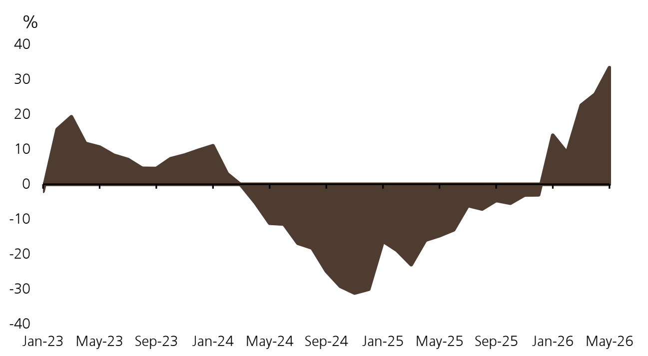
Figure 13: China's EG-HF (ex. UPSSS-grade) prices have risen YTD



Source: Wind

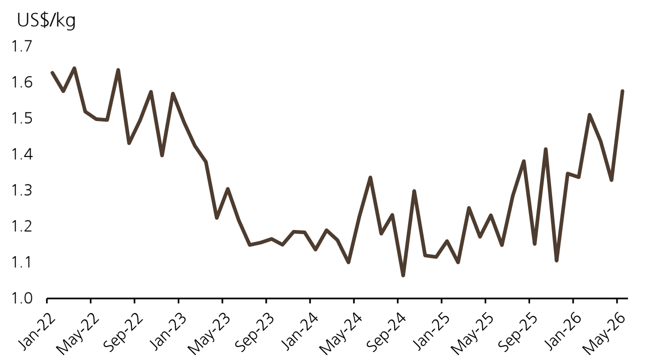
[Reportedly](), overseas wafer fabs are proactively purchasing EG-HF. In terms of exports, China's EG-HF exports expanded 33% YoY in 5M26, with ASP up 19% MoM in May, demonstrating robust overseas demand. In terms of earnings of the product, as per Do-Fluoride, downstream clients value supply stability and quality consistency more, as EG-HF takes up a limited proportion of the total chip cost. As such, corporate profitability has been well underpinned amid cost-driven price hikes. **In H226, we suggest watching: 1) sulfur price trends and their impact on anhydrous hydrogen fluoride prices; and 2) the progress of Chinese EG-HF producers in supplying to/ certification by overseas semi clients.**

Figure 14: China's EG-HF exports grew 33% YoY in 5M26



Source: Wind, customs data

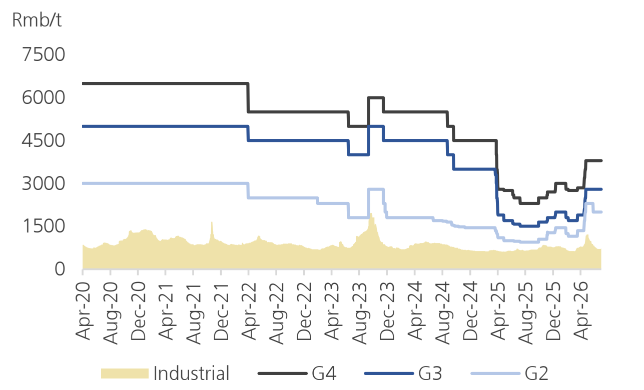
Figure 15: China's EG-HF export ASP rose 19% MoM in May 2026



Source: Wind, customs data

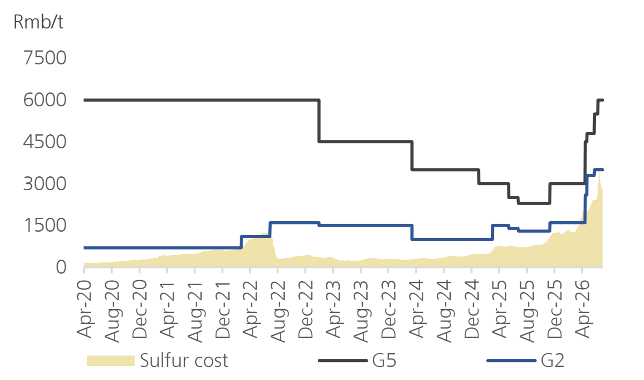
The prices of high-purity sulfuric acid/indium tin oxide (ITO) targets may have been bolstered by raw material costs. Sulfur prices have more than doubled YTD, while metals such as indium/molybdenum have had 70%/30% price gains, respectively, likely providing cost support for select electronic chemical materials. Meanwhile, sector fundamentals could bottom out amid downstream memory demand. We note continued price increases of high-purity sulfuric acid/hydrogen peroxide since March, and we expect price hikes for molybdenum/ITO targets for pass-through of raw material costs.

Figure 16: Price trends of high-purity hydrogen peroxide in China



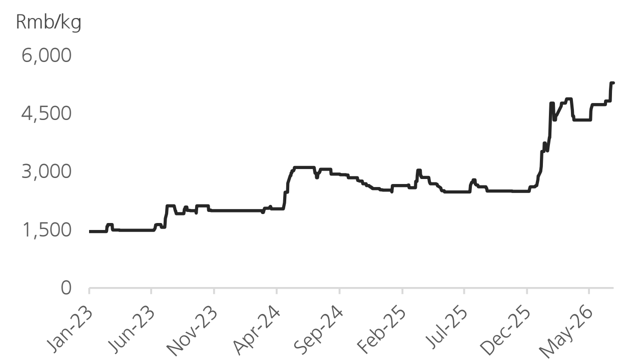
Source: Wind

Figure 17: Price trends of high-purity sulfuric acid in China



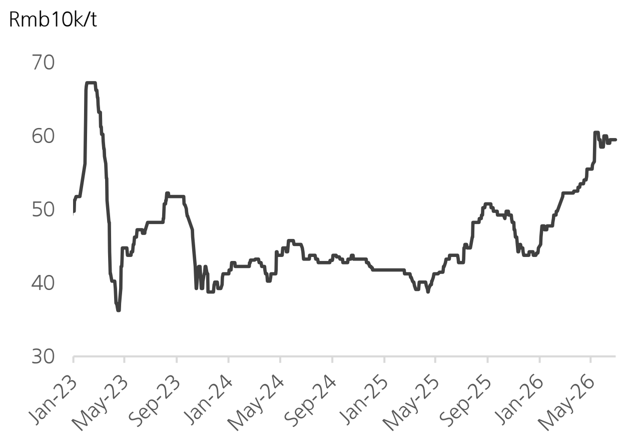
Source: Wind

Figure 18: Price trend of indium in China



Source: Wind

Figure 19: Price trend of molybdenum powder in China



Source: Antaike

Stock picks and price target revisions

ESG/MLCC value chain peers have re-rated to 3.3/2.3x 2026E PEG, on average. The share prices of ESG/MLCC value chain names overall have more than doubled YTD, mainly as the market expects AI servers/downstream memory demand to drive sales and price increases. In our view, whether the current valuations can be sustained into H226 depends on: 1) Continuing market expectations for price hikes of select MLCC value chain/electronic chemicals (our order of likelihood: MLCC materials > MLCCs > WF6 > semi wet chemicals > helium; we suggest watching how they play out in H226). 2) Changes in market expectation on AI capex.

Figure 20: Valuation comparison of MLCC value chain companies

	Share price	Mkt cap		PE (x)			P/BV (x)			ROE (%)		EPS CAGR	PEG
13-Jul-26	Local ccy	Rmb$bn	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	26-28E	2026E
MLCC - China mainland													
Chaozhou Three-Circle*	111.8	214.3	56x	41x	32x	8.7x	7.4x	6.3x	16%	20%	21%	33%	1.70
Fenghua	54.0	62.5	102x	83x	70x	4.9x	4.7x	4.5x	5%	6%	7%	21%	4.84
Avg.			**79x**	**62x**	**51x**	**6.8x**	**6.1x**	**5.4x**	**11%**	**13%**	**14%**	**27%**	**3.27**
MLCC protection film													
EM Technology*	49.5	50.0	64x	37x	27x	7.8x	7.0x	6.2x	13%	20%	24%	53%	1.21
Jiemei*	72.6	31.3	71x	49x	38x	9.1x	8.1x	7.0x	13%	17%	20%	37%	1.93
SDK	77.5	35.1	150x	76x	52x	13.6x	11.1x	8.7x	9%	15%	18%	70%	2.15
Avg.			**95x**	**54x**	**39x**	**10.2x**	**8.7x**	**7.3x**	**12%**	**18%**	**21%**	**53%**	**1.76**
MLCC powders													
Sinocera*	64.0	63.8	80x	57x	45x	8.2x	7.3x	6.4x	11%	13%	15%	33%	2.43
Jiangsu Boqian*	184.0	48.1	92x	63x	45x	23.1x	18.4x	14.3x	28%	33%	36%	43%	2.12
Avg.			**86x**	**60x**	**45x**	**15.7x**	**12.8x**	**10.3x**	**19%**	**23%**	**25%**	**38%**	**2.28**
MLCC value chain average			**88x**	**58x**	**44x**	**10.8x**	**9.1x**	**7.6x**	**14%**	**18%**	**20%**	**41%**	**2.34**

Source: Wind, UBS-S estimates. *UBS-S covered companies; for companies we do not cover, we use Wind consensus. Note: Prices as of 13 July 2026.

Figure 21: Valuation comparison of semi material suppliers

	Share price	Mktcap		PE (x)			P/B (x)			ROE (%)		EPS CAGR	PEG
7/13/2026	Local cry	US$bn	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026-28E	2026E
Photoresist													
Crystal Clear*	16.7	2.6	119x	73x	60x	6.5x	6.1x	5.7x	6%	9%	10%	40%	2.95
Red Avenue	79.6	7.4	68x	55x	51x	12.3x	11.5x	9.3x	18%	21%	17%	16%	4.23
Nata Opto-electronic	70.2	7.3	111x	91x	77x	13.0x	12.0x	11.0x	12%	13%	14%	20%	5.62
Average			**99x**	**73x**	**63x**	**10.6x**	**9.8x**	**8.6x**	**12%**	**14%**	**14%**	**25%**	**4.27**
Electronic special gas													
Huate Gas*	208.1	3.7	124x	80x	65x	11.7x	10.7x	9.6x	10%	14%	16%	39%	3.21
Jinhong Gas*	37.5	2.7	60x	40x	32x	5.5x	5.2x	4.8x	9%	13%	15%	36%	1.66
Haohua Chemical	54.6	10.6	33x	28x	25x	3.6x	3.3x	3.0x	11%	12%	12%	17%	2.01
Peric	244.5	19.4	259x	204x	159x	NA	NA	NA	8%	10%	11%	28%	9.37
Guanggang Gas*	44.3	8.6	116x	79x	51x	9.2x	8.5x	7.6x	8%	11%	16%	52%	2.25
Yoke Technology	189.0	13.5	67x	54x	14x	10.0x	8.8x	2.0x	15%	16%	14%	23%	2.89
Average			**110x**	**81x**	**58x**	**8.0x**	**7.3x**	**5.4x**	**10%**	**13%**	**14%**	**32%**	**3.56**
Wet electronic chemicals													
Shanghai Sinyang	113.4	5.3	84x	60x	49x	6.8x	6.2x	5.5x	8%	11%	12%	31%	2.73
Jianghua Microelectronics	41.9	2.4	114x	86x	66x	NA	NA	NA	7%	9%	10%	31%	3.63
Capchem*	67.4	7.5	25x	20x	18x	4.0x	3.5x	3.1x	18%	19%	18%	18%	1.42
Sinophorus Electronic Material	105.4	5.7	121x	81x	60x	12.1x	11.2x	10.1x	10%	13%	16%	42%	2.91
Average			**76x**	**54x**	**42x**	**7.6x**	**7.0x**	**6.2x**	**12%**	**14%**	**15%**	**30%**	**2.35**
CMP													
Anji Microelectronics	297.6	10.1	63x	47x	38x	15.2x	11.9x	9.4x	24%	25%	25%	30%	2.13
Hubei Dinglong	79.9	11.4	72x	56x	43x	12.5x	10.4x	8.5x	17%	19%	20%	29%	2.52
Average			**67x**	**51x**	**41x**	**13.8x**	**11.2x**	**8.9x**	**21%**	**22%**	**22%**	**29%**	**2.32**
Target													
Konfoong	318.3	13.2	106x	79x	58x	15.1x	13.1x	11.0x	14%	17%	19%	36%	2.98
Average			**106x**	**79x**	**58x**	**15.1x**	**13.1x**	**11.0x**	**14%**	**17%**	**19%**	**36%**	**2.98**
Total average.			**95x**	**70x**	**54x**	**9.6x**	**8.5x**	**7.0x**	**12%**	**14%**	**15%**	**30%**	**3.31**

Source: Wind, UBS-S estimates. *UBS-S covered companies; for companies we do not cover, we use Wind consensus. Note: Prices as of 13 July 2026.

Based on expectations for further price increases in related chemical materials, coupled with the potential for AI-driven medium- to long-term demand growth in the MLCC and semiconductor chemical materials industries, we raise our earnings forecasts, medium-term growth rate forecasts and price targets for related covered companies**.** First, we lift our 2026-28E net profit estimates, as price increase expectations remain for MLCC Materials, electronic specialty gases, and wet electronic chemicals. Second, we raise our valuation multiples to factor in the market's more constructive long-term expectations.

Figure 22: Price target and earnings estimate revisions

Company	Rating	Price target (lcy)			26E earnings - Rmb mn			27E earnings - Rmb mn			28E earnings - Rmb mn			29E earnings - Rmb mn		
		New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Guanggang	**Buy**	66.00	42.00	57%	503	438	15%	743	698	6%	1,156	1,017	14%	1,456	1,281	14%
Jinhong	**Buy**	53.00	37.00	43%	302	309	-2%	447	408	10%	560	486	15%	664	577	15%
Three Circle	**Buy**	160.00	159.00	1%	3,795	3,745	1%	5,229	5,171	1%	6,735	6,669	1%	8,525	8,450	1%
Jiemei	**Buy**	104.00	86.00	21%	442	435	2%	637	619	3%	825	802	3%	1,073	988	9%
Sinocera	**Buy**	93.00	65.00	43%	795	740	8%	1,113	1,019	9%	1,407	1,222	15%	1,647	1,460	13%
Longhua	**Buy**	17.00	14.20	20%	282	266	6%	387	331	17%	470	401	17%	545	466	17%

Source: UBS-S estimates

Guanggang Gas (PT from Rmb42 to Rmb66): The company is a leading electronic bulk gas supplier in China, with H126 preliminary results better than we expected. Thus, we lift our 2026-28E earnings 6-15% to reflect: 1) potential revenue growth driven by ramp-up of the company's electronic bulk gas projects; and 2) potential net profit growth driven by a helium price recovery. Our new DCF-based PT (WACC unchanged at 9.7%) implies 117x 2027E PE vs. a 40% 2027-29E EPS CAGR (previously 79x 2027E PE vs. a 36% 2027-29E EPS CAGR). We raise our medium-term growth estimate from 19.8% to 20.4%. Its PEG ratio rises from 2.0x to 2.9x, mainly as we expect new tender wins to drive long-term net profit growth.

Jinhong Gas (PT from Rmb37 to Rmb53): The company is a major helium trader and a supercritical carbon dioxide manufacturer in China. We raise our 2027-29E earnings 10-15% to reflect helium price increases and growth expectations for semi-related segments. Our new DCF-based PT (WACC unchanged at 7.3%) implies 57x 2027E PE vs. a 22% 2027-29E net profit CAGR (previously 44x 2027E PE vs. a 25% 2026-28E net profit CAGR). Its PEG ratio rises from 1.8x to 2.6x, primarily reflecting a more positive outlook for the semi segment's long-term growth.

Three-Circle (PT from Rmb159 to Rmb160): We lift our PKG segment revenue forecast to factor in potential revenue growth amid price hikes, and our 2026-28E net profit c1%. Our new PE-based PT of Rmb160 is based on 59x 2027E PE vs. a 28% 2027-29E EPS CAGR (unchanged), with implied 2027E PEG ratio at 2.1x.

Jiemei (PT from Rmb86 to Rmb104): We raise our sales and price forecasts for membrane materials, thus lifting our 2026-29E net profit 2-9%. We raise our DCF-based PT (WACC unchanged at 8.5%) from Rmb86 to Rmb104 and our medium-term growth estimate from 14.2% to 15.0%. Our new PT implies 70x 2027E PE vs. a 30% 2027-29E EPS CAGR (previously 60x 2026E PE vs. a 26% 2026-28E EPS CAGR). Its PEG ratio rises from 2.3x to 2.4x, mainly reflecting a more positive outlook for the visibility of MLCC release film price hikes and long-term growth.

Sinocera (PT from Rmb65 to Rmb93): We raise 2026-28E earnings 8-15% to factor in potential price increases amid an improving MLCC powder product mix. We lift our DCF-based PT (WACC unchanged at 9.7%) from Rmb65 to Rmb93, implying 83x/66x 2027E/2028E PE (previously 64x/53x). We lift our medium-term growth estimate from 17.0% to 19.0%, primarily as the market has turned more positive on the long-term prospects of the commercial space and MLCC sectors.

Longhua (PT from Rmb14.20 to Rmb17): We raise our price and sales forecasts for molybdenum targets and ITO targets, thus lifting our 2026-28E earnings 6-17%. We lift our DCF-based PT (WACC unchanged at 7.3%) from Rmb14.20 to Rmb17, implying 45x 2027E PE vs. a 19% 2027-29E net profit CAGR. Its implied 2.4x PEG remains below the average of semi peers.

Dongyue (maintain PT at HK$29.70): Our stock pick rationale: 1) the company could maintain high profitability in its refrigerant segment, while heat waves in some regions could boost refrigerant demand; 2) its silicone and fluoropolymers could benefit from improving industry discipline, with earnings likely to enter an upcycle; and 3) trading at a discount to fluorochemical material peers, the company could re-rate on electronic-grade PTFE's potential application in AI orthogonal backplanes. We expect the company's AI-related earnings contribution to be around 3-5% in 2028 (currently, electronic-grade PTFE applications in the AI field are still under testing; the actual future contribution depends on downstream material system iterations).

Capchem (maintain PT at Rmb122): Our stock pick rationale: 1) we expect the company to maintain electrolyte/LiPF6 sales growth, with unit profitability likely to improve YoY; 2) we think its fluorinated fluids could benefit from accelerating domestic substitution as overseas companies exit from PFAS production; 3) its capacitor chemicals could benefit from rising penetration of supercapacitors in AIDCs; and 4) upside potential remains for its valuation relative to the average of electronic material names. Also, the prices of VC (an electrolyte additive; Capchem has around 10ktpa capacity) have risen notably recently, which could be earnings accretive, in our view.

UBS Research THESIS MAP a guide to our thinking and what's where in this report

PIVOTAL QUESTIONS

Q: Can localisation and higher ASPs drive 30%+ net profit growth for MLCC materials in 2026-28?

Yes. We are positive on release film's localisation potential. We estimate a relevant TAM of more than Rmb10bn globally, of which Jiemei's share may be only 3%. Measured by production costs, we estimate release film's/electrode slurry's content value in 1005-1608 MLCCs (400 layers) at about 16%/13%, above the 14%/12% for 2012 MLCCs.

China MLCC Sector: "APAC Focus: Passive components with largest localisation upside; Chinese makers set to thrive", 7/31/2025

Q: Can MLCC release film turn from a net loss to net profit of more than Rmb300m in 2025-28?

Yes. We expect release film revenue to grow from Rmb260m to Rmb1.8bn in 2025-28, for a three-year CAGR of 70%+, driven by industry cycle improvement, Jiemei's full integration of upstream raw materials and downstream channels, and market share gains by local MLCC manufacturers. In addition, we expect release film GPM to expand from 9% in 2024 to 30%+ in 2027, fuelled by higher capacity utilisation and ASPs.

Jiemei: "Carrier tape remains resilient; release film poised for growth", 7/31/2025

UBSVIEW

We expect Jiemei's release film net profit to have a 30% CAGR in 2027-29, driven by order fulfilment. We estimate its electronic carrier tape profit could hit Rmb300-400m in 2027, driven by price hikes and falling prices of raw material pulp. Over the longer term, Jiemei's development of carrier copper foil offerings, with its expertise in composite copper foil, along with its effort to acquire Aifusi to expand into high-end semiconductor manufacturing, could provide the stock room to re-rate. We maintain our Buy rating.

EVIDENCE

Jiemei has largely achieved batch supply of MLCC release film to manufacturers in mainland China/ Taiwan and entered the small-batch introduction stage with Japanese/Korean manufacturers. After two decades in electronic packaging materials and making it into the supply chains of electronic component leaders such as Samsung/Panasonic/Murata, Jiemei holds a 50%+ market share globally for paper carrier tape in revenue terms, while its ROE midpoint held steady at around 20% in 2013-18.

WHAT´S PRICED IN?

Jiemei is trading at 49x 2027E PE, below the average of 58x for MLCC value chain names; however, its 2026-28E EPS growth of 37% is close to the peer average of 41%. We expect Jiemei's MLCC release film and composite copper foil/aluminum foil lines to sustain its long-term growth, while we see strong synergy between the lines and electronic packaging. Therefore, we still foresee valuation upside.

UPSIDE/DOWNSIDE SPECTRUM

Value drivers (2027E)	Film revenue (Rmb m)	Film GPM	Film ASP (Rmb/sqm)	Paper carrier tape GPM
Rmb120 upside	1,500	38%	1.8	47%
Rmb104 base	1,332	35%	1.7	44%
Rmb54 downside	800	32%	1.5	40%

Source: UBS-S estimates

COMPANY DESCRIPTION

Jiemei Electronic & Technology is a leading domestic manufacturer of electronic carrier tape and MLCC release film. The company's major products include paper carrier tape, plastic carrier tape, electronic packaging tape, IC-trays and BOPET/CPP film. The company's share in the paper carrier tape market exceeded 50% as of end-2024. It serves as a strategic partner for major domestic and overseas electronic component leaders such as Samsung Electro-Mechanics, Murata, Fenghua Advanced Technology and Panasonic.

UBSResearch THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Can the MLCC segment’s revenue and GPM stabilise or improve in 2026?
Yes. According to UBS Evidence Lab’s electronics distributor inventory monitor, as of 13 June, MLCC distributors’ inventory in volume terms was down 3% from 8 May, while increasing 1% in value. Our distributor checks show robust demand downstream of AI servers, alongside continued demand growth for automotive MLCCs. We expect Sinocera’s MLCC powder sales volume to grow 10-20% in 2026-27, driven by recovering industry fundamentals and new capacity launches.

China Chemical New Materials: ”Seeking subsectors with potential improvement in S/D balance under better market liquidity“, 12/19/2024

UBSVIEW

We estimate a net profit CAGR of 22% in 2027-29, as we expect demand from areas downstream of MLCCs to continue a mild recovery and Sinocera’s new capacity to meet growing downstream demand (automotive-grade/AI), while revenue from the company’s ceramic packaging materials for satellites doubles and the catalyst material segment’s market share continues to rise. We maintain our Buy rating.

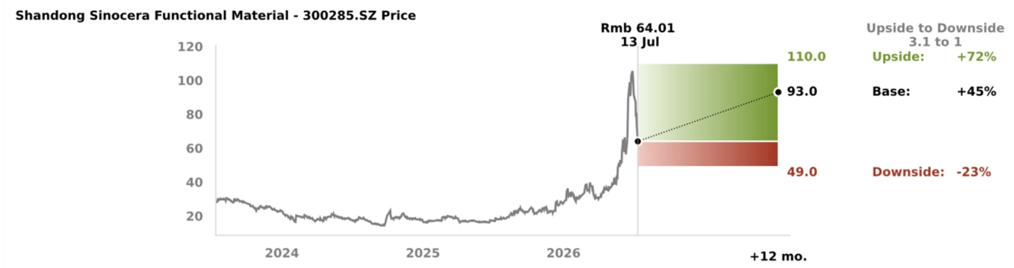
EVIDENCE

Sinocera plans to launch 2kt of new MLCC powder capacity in 2026, mainly targeting automotive-grade applications and areas downstream of AI servers. For high-end areas exemplified by AI servers, ceramic powders are required to come in smaller particle sizes and superior consistency, with rare earth elements in their formulations. In 2025, subsidiary Ceratron achieved revenue in tens of millions of yuan from packaging ceramic materials for satellites.

WHAT´S PRICED IN?

Sinocera is trading at 57x 2027E PE, below the average of 70x for comparable producers of semiconductor materials. We believe its valuation mainly prices in Sinocera’s footprint in downstream areas such as MLCCs, commercial aerospace, solid-state batteries and high-frequency, high-speed copper-clad laminates, as well as potential price hikes for MLCC ceramic powders and dental powders.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2027E)	Sales volume growth of electronic materials	Sales volume growth of catalyst materials	ASP growth of electronic materials	Revenue growth of precision ceramic materials
Rmb110.00 upside	20%	25%	10%	70%
Rmb 93.00 base	14%	15%	5%	50%
Rmb49.00 downside	10%	10%	0%	30%

Source: UBS-S estimates

COMPANY DESCRIPTION

Shandong Sinocera is focused on the production, research and distribution of ceramic materials. Its major products include barium titanate ($BaTiO_3$) powder for MLCCs, zirconium powder for dental implants, honeycomb ceramics and ceramic ink.

UBSResearch THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Can electronic chemical material companies benefit from the current memory upcycle?

Yes. We expect producers of electronic wet chemicals and electronic specialty gases to benefit from the current memory upcycle, as it is driven not only by tight supply, but growing demand for server DDR5 and enterprise SSD (which may drive higher shipments of upstream materials), while electronic chemical industry fundamentals are at a five-year historical low (meaning supply-demand improvement may lead to better pricing for electronic chemical materials).

China Oil, Gas and Chemical Sector: "2026 Outlook: Oil price stabilising, is chemical cycle turning around?", 11/11/2025

Q: Can localisation drive 50%+ YoY net profit growth in 2026-28?

Yes. We expect Guanggang's revenue from on-site electronic bulk carrier gas (EBG) production projects to grow more than 24% in 2027-29. The company is an EBG supplier to China's major memory manufacturers, with a 41% share of the domestic market in new project terms in 2024. It has a significant leadership position in the China market, supported by high customer stickiness, reflecting the difficulty of switching between EBG supply chains.

Guangzhou Guanggang Gas & Energy: "On-site electronic gas supply; on-track profit growth delivery", 4/17/2024

UBSVIEW

We lift our 2026-28E earnings 6-15% to factor in: 1) potential revenue growth from the ramp-up of Guanggang's EBG projects; and 2) a net profit boost from recovering helium prices. Our new DCF-based PT (WACC unchanged at 9.7%) implies 117x 2027E PE, with a 2027-29E EPS CAGR of 40% (previously 79x and 36%, respectively). We raise our medium-term growth assumption from 19.8% to 20.4%. Its implied 2027E PEG rises from 2.0x to 2.9x, mainly as we expect new project wins to drive long-term net profit growth.

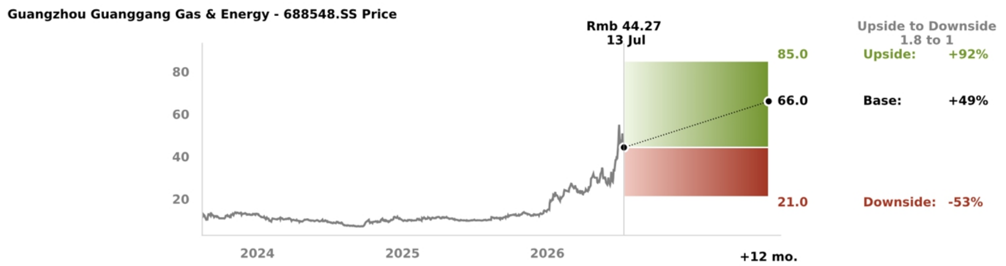
EVIDENCE

UBS expects AI to bring more application scenarios to DDR5, NAND flash and HBM, which may keep DRAM/NAND in short supply through Q228/Q247 (see "APAC Focus: With Agentic AI, what will the New Normal be?", Nicolas Gaudois, 20 May 2026). Guanggang guided for net profit growth of 87-138% YoY to Rmb220-228m in H126.

WHAT´S PRICED IN?

Guanggang is trading at 116x/79x 2026E/2027E PE. Our 2026-28 EPS growth forecast of 52% implies 2.3x 2026E PEG, below the average of 3.3x for domestic peers. However, we believe Guanggang deserves a valuation premium, given its industry-leading bidding capability in IC-related on-site gas production projects in China.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2027E)	Electronic gas revenue growth	Electronic gas GPM	Helium market price forecast (Rmb/ cylinder)	Industrial gas gross profit (Rmb m)
Rmb85 upside	40%	40%	790	100
Rmb66 base	32%	36%	634	75
Rmb21 downside	25%	32%	530	50

Source: UBS-S estimates

COMPANY DESCRIPTION

Guanggang Gas is a leading Chinese supplier of electronic bulk gases (high purity nitrogen, helium, argon, etc.) by revenue scale...

UBSResearch THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Can electronic chemical material companies benefit from the current memory upcycle?
Yes. We view electronic wet chemical and electronic specialty gas companies as beneficiaries of the current memory upcycle, given potentially higher shipments of upstream materials (as the upcycle is being driven not only by tight supply, but growing demand from server DDR5 and enterprise SSD) and higher prices of electronic chemical materials (as supply-demand may improve, with industry fundamentals at a five-year trough).

China Oil, Gas and Chemical Sector: "2026 Outlook: Oil price stabilising, is chemical cycle turning around?", 11/11/2025

Q: Can on-site gas supply and specialty gas drive a 20%+ net profit CAGR for Jinhong in 2027-29?
Yes. We expect electronic specialty gas (ESG) industry fundamentals to enter an upcycle in 2026. Jinhong's major products, ultra-pure ammonia and nitrous oxide, may continue penetrating the supply chains of semis. Its new products, such as electronic-grade H_2SiCl_2, TEOS and high-purity CO_2, are also likely to contribute revenue. We also expect its new on-site gas projects to help fuel a 20% YoY rise in the on-site segment's 2027 revenue.

China Electronic Chemical Materials: "APAC Focus: Memory chip recovery & localisation could power gas vendors for 30%+ EPS growth", 4/17/2024

UBSVIEW

We lift our 2027-29E earnings 10-15% to reflect helium price hikes and our growth expectation for its semi-related business. Our DCF-based PT (WACC unchanged at 7.3%) implies 57x 2027E PE vs. a 22% net profit CAGR in 2027-29E (previously 44x 2027E PE vs. a 25% net profit CAGR in 2026-28E). Our PT-implied PEG rises to 2.6x from 1.8x. Our higher valuation mainly reflects the market's more bullish expectations for long-term growth of semi-related companies.

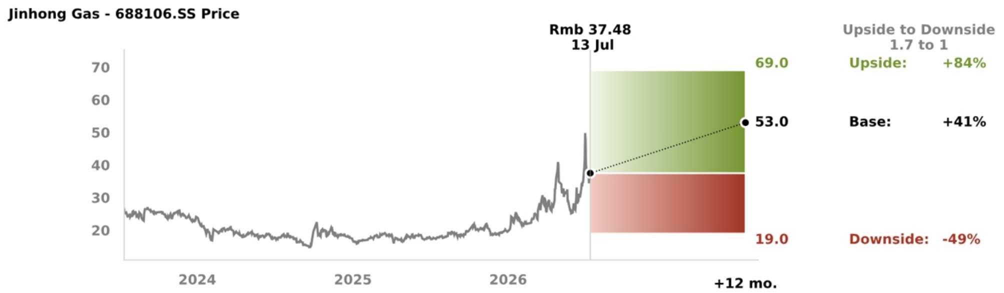
EVIDENCE

UBS expects AI to create increasing use cases for DDR5, NAND Flash, and HBM, potentially leading the DRAM/NAND supply deficit to last through Q228/Q427 (see "APAC Focus: With Agentic AI, what will the New Normal be?", Nicolas Gaudois, 20 May 2026). We believe semi clients contribute the majority of Jinhong's high-purity ammonia revenue and 50%+ of its nitrous oxide revenue. Jinhong is also advancing the qualification of its fluorocarbon gases at semi clients.

WHAT´S PRICED IN?

The recent broad valuation re-rating for semi-related chemical material names mainly reflects the market's stronger estimates for the memory cycle and import substitution. Jinhong is trading at only 40x 2027E PE, below the average of ESG and semi-related chemical material peers.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2027E)	Bulk gas YoY revenue growth	On-site gas production revenue (Rmb m)	Specialty gas YoY revenue growth	Specialty gas gross margin
Rmb69 upside	18%	1,000	28%	35%
Rmb53 base	11%	728	21%	32%
Rmb19 downside	7%	550	15%	30%

Source: UBS-S estimates

COMPANY DESCRIPTION

Jinhong Gas (Jinhong) is a leading bulk gas producer and retailer in China. It derives the majority of its bulk gas revenue from eastern China. Since 2021, it has signed a number of electronic bulk gas supply agreements with leading domestic semi makers. To guarantee raw material supply, it plans to construct air separation units in the Suzhou Industrial Park-Xiangcheng Cooperative Economic Development Zone. Its electronic specialty gas products mainly include ultra-pure ammonia, N_2O, CO_2, H_2, etc., and it is developing other products (eg, TEOS and C_4F_6).

UBSResearch THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Can ITO targets deliver a sales volume CAGR of over 35% in 2025-28?
Yes. We think growing demand from the display and photovoltaics (PV) downstreams could support Longhua's ITO target shipment growth in the next few years. In 2025, global demand for ITO targets exceeded 1,500 tonnes. With China as the largest indium producer and the downstream display value chain moving onshore, we expect continued progress in the localisation of display ITO targets in the next few years and Longhua to seize a 40-50% market share domestically.

Q: Can the polymer composite segment deliver a revenue CAGR of over 30% in 2025-28?
Yes. Longhua's polymer composite segment mainly includes PMI foam, railway fasteners and PVC core materials. Subsidiary Zhaoheng Technology is a major domestic player in PMI structural foam. We expect Zhaoheng to benefit from import substitution and a rising mix of high-end products in 2026-28, which could help drive a 16% revenue CAGR for Longhua's related segment in 2026-28, as segmental GPM rises from 40% to 43%.

UBSVIEW

We are bullish on Longhua's target and PMI structural foam revenue growth in the next few years, which could drive a 19% net profit CAGR in 2027-29. We think its ITO targets could keep gaining share in the display downstream and benefit from growing PV downstream demand. Meanwhile, its PMI structural foam segment could benefit from localisation and an improving product mix. We maintain our Buy rating.

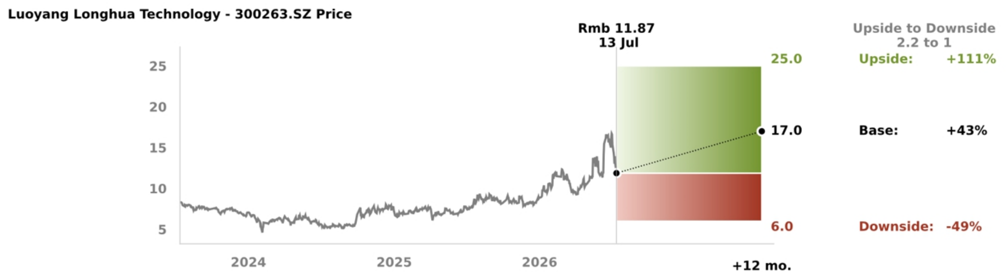
EVIDENCE

Subsidiary Fonlink's molybdenum (Mo) targets and ITO targets have entered the supply chains of major domestic display makers, with its Mo target market share likely at 50%+ domestically. Subsidiary Kebos' wind power core materials have secured orders from major domestic downstream manufacturers such as Sinoma Science & Technology, SANY Electric and Zhu Zhou Times New Material Technology. Subsidiary Zhaoheng Technology was the first company to mass produce PMI foam and pass military product certification.

WHAT´S PRICED IN?

The stock is trading at 35x 2027E PE, below the average of its semi target supplier peers (70x). We expect Longhua to keep taking share in the ITO target market for the next few years, with HJT cells providing upside potential to demand growth. We expect PMI foam to benefit from localisation and do not think its growth upside is fully priced in.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2027E)	Mo target sales	ITO target sales	PMI foam revenue (Rmb m)	Electronic new material GPM
Rmb25 upside	750t	750t	280	28%
Rmb17 base	606t	554t	222	25%
Rmb6 downside	550t	400t	190	21%

Source: UBS-S estimates

COMPANY DESCRIPTION

Established in 1995, Luoyang Longhua Technology Group (Luoyang) is mainly engaged in the production and manufacturing of molybdenum (Mo)/ITO targets, structural composite materials and heat-transfer/water processing equipment.

Guangzhou Guanggang Gas & Energy (688548.SS)

Income Statement (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**1,835**	**2,103**	**2,424**	**3,362**	*38.7*	**4,309**	*28.2*	**5,611**	**6,568**	**7,448**
Gross profit	634	556	643	966	*50.3*	1,351	*39.9*	1,982	2,429	2,833
EBITDA (UBS)	**559**	**549**	**686**	**1,074**	*56.5*	**1,472**	*37.1*	**2,065**	**2,423**	**2,750**
Depreciation & amortisation	(202)	(282)	(345)	(441)	*-27.7*	(540)	*-22.5*	(632)	(632)	(632)
EBIT (UBS)	**357**	**266**	**341**	**633**	*85.6*	**932**	*47.2*	**1,432**	**1,790**	**2,118**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	1	6	6	0	-	0	-	0	0	0
Net interest	(13)	(5)	(17)	(35)	*-111.5*	(48)	*-37.3*	(57)	(59)	(54)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**346**	**268**	**331**	**598**	*80.7*	**884**	*47.8*	**1,375**	**1,732**	**2,064**
Tax	(26)	(18)	(42)	(90)	*-113.2*	(133)	*-47.8*	(206)	(260)	(310)
Profit after tax	**320**	**250**	**289**	**508**	*76.0*	**751**	*47.8*	**1,169**	**1,472**	**1,754**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	(2)	(3)	(6)	*-76.0*	(8)	*-47.8*	(13)	(16)	(19)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**320**	**248**	**286**	**503**	*76.0*	**743**	*47.8*	**1,156**	**1,456**	**1,735**
Net earnings (UBS)	**320**	**248**	**286**	**503**	*76.0*	**743**	*47.8*	**1,156**	**1,456**	**1,735**
Tax rate (%)	7.6	6.8	12.7	15.0	*18.0*	15.0	*0.0*	15.0	15.0	15.0

Per Share (Rmb)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	0.24	0.19	0.22	0.38	*76.0*	0.56	*47.8*	0.88	1.10	1.31
EPS (local GAAP, diluted)	0.24	0.19	0.22	0.38	*76.0*	0.56	*47.8*	0.88	1.10	1.31
EPS (UBS, basic)	0.24	0.19	0.22	0.38	*76.0*	0.56	*47.8*	0.88	1.10	1.31
DPS (net) (Rmb)	0.02	0.14	0.11	0.11	*3.6*	0.17	*47.8*	0.26	0.33	0.39
Cash EPS (UBS, diluted) [1]	0.40	0.40	0.48	0.72	*49.5*	0.97	*36.0*	1.36	1.58	1.79
Book value per share	4.34	4.41	4.55	4.81	*5.9*	5.21	*8.2*	5.82	6.59	7.51
Average shares (diluted)	1,319	1,319	1,319	1,319	*0.0*	1,319	*0.0*	1,319	1,319	1,319

Balance Sheet (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	788	905	1,249	1,280	*2.5*	1,312	*2.5*	1,356	1,818	2,418
Other current assets	2,364	1,593	1,197	1,522	*27.2*	1,841	*21.0*	2,263	2,576	2,865
Total current assets	**3,152**	**2,498**	**2,446**	**2,802**	*14.6*	**3,153**	*12.5*	**3,619**	**4,394**	**5,283**
Net tangible fixed assets	2,861	4,124	5,154	6,302	*22.3*	7,281	*15.5*	8,022	8,454	8,946
Net intangible fixed assets	957	960	976	961	*-1.6*	946	*-1.6*	931	915	900
Investments / other assets	283	362	332	332	*0.0*	332	*0.0*	332	332	332
Total assets	**7,253**	**7,944**	**8,908**	**10,397**	*16.7*	**11,712**	*12.6*	**12,904**	**14,095**	**15,462**
Trade payables & other ST liabilities	559	774	760	992	*30.5*	1,191	*20.1*	1,421	1,577	1,710
Short term debt	186	391	1,053	1,952	*85.5*	2,540	*30.1*	2,680	2,680	2,680
Total current liabilities	**745**	**1,166**	**1,813**	**2,945**	*62.4*	**3,731**	*26.7*	**4,101**	**4,257**	**4,390**
Long term debt	592	739	857	857	*0.0*	857	*0.0*	857	857	857
Other long term liabilities	150	178	199	199	*0.0*	199	*0.0*	199	199	199
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**1,487**	**2,082**	**2,868**	**4,000**	*39.5*	**4,786**	*19.7*	**5,156**	**5,312**	**5,445**
Common s/h equity	**5,730**	**5,824**	**6,001**	**6,353**	*5.9*	**6,872**	*8.2*	**7,682**	**8,701**	**9,915**
Minority interests	36	38	39	45	*14.1*	53	*18.3*	66	82	102
Total liabilities & equity	**7,253**	**7,944**	**8,908**	**10,397**	*16.7*	**11,712**	*12.6*	**12,904**	**14,095**	**15,462**

Cash Flow (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	320	248	286	503	*76.0*	743	*47.8*	1,156	1,456	1,735
Depreciation & amortisation	202	282	345	441	*27.7*	540	*22.5*	632	632	632
Net change in working capital	(1,879)	986	382	(93)	-	(120)	*-29.1*	(192)	(157)	(156)
Other operating	1,883	(1,100)	(233)	6	-	8	*47.8*	13	16	19
Operating cash flow	**526**	**417**	**780**	**856**	*9.7*	**1,171**	*36.8*	**1,609**	**1,947**	**2,230**
Tangible capital expenditure	(1,103)	(1,500)	(1,394)	(1,573)	*-12.8*	(1,504)	*4.4*	(1,358)	(1,049)	(1,110)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(1,663)	271	99	0	-	0	-	0	0	0
Other investing	0	0	(2)	0	-	0	-	0	0	0
Investing cash flow	**(2,766)**	**(1,229)**	**(1,298)**	**(1,573)**	*-21.2*	**(1,504)**	*4.4*	**(1,358)**	**(1,049)**	**(1,110)**
Equity dividends paid	(31)	(181)	(146)	(151)	*-3.6*	(223)	*-47.8*	(347)	(437)	(520)
Share issues / (buybacks)	3,090	0	2	0	-	0	-	0	0	0
Other financing	12	3	24	0	-	0	-	0	0	0
Change in debt & pref shares	(123)	304	617	900	*45.9*	588	*-34.7*	140	0	0
Financing cash flow	**2,949**	**126**	**497**	**749**	*50.6*	**365**	*-51.3*	**(207)**	**(437)**	**(520)**
Cash flow inc/(dec) in cash	**709**	**(686)**	**(20)**	**32**	-	**32**	*1.1*	**44**	**462**	**600**
FX / non cash items	0	803	364	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**709**	**117**	**344**	**32**	*-90.8*	**32**	*1.1*	**44**	**462**	**600**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	51.1	51.0	51.4	NM	NM	50.5	40.1	33.7
P/E (UBS, diluted)	51.1	51.0	51.4	NM	78.6	50.5	40.1	33.7
P/CEPS	31.3	23.8	23.3	61.9	45.5	32.7	28.0	24.7
Equity FCF (UBS) yield %	(3.5)	(8.6)	(4.2)	(1.2)	(0.6)	0.4	1.5	1.9
Dividend yield (net) %	0.2	1.4	1.0	0.3	0.4	0.6	0.7	0.9
P/BV	2.9	2.2	2.4	9.2	8.5	7.6	6.7	5.9
EV/revenues (core)	9.1	6.1	6.3	NM	NM	NM	9.2	8.0
EV/EBITDA (UBS core)	29.9	23.3	22.1	55.4	40.9	29.4	24.9	21.8
EV/EBIT (core)	46.8	48.0	44.4	94.0	64.7	42.3	33.8	28.3
EV/OpFCF (core)	NM	28.7	31.3	80.4	52.5	34.5	27.7	24.0
EV/op. invested capital	3.8	2.2	2.4	8.1	7.1	6.4	5.9	5.5

Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	16,338	12,642	14,673	58,410	58,410	58,410	58,410	58,410
Net debt (cash)	359	108	443	1,094	1,806	2,132	1,950	1,419
Buy out of minorities	28	37	39	42	49	60	74	92
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**16,725**	**12,786**	**15,155**	**59,546**	**60,265**	**60,602**	**60,434**	**59,920**
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	**16,725**	**12,786**	**15,155**	**59,546**	**60,265**	**60,602**	**60,434**	**59,920**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	19.2	14.6	15.3	38.7	28.2	30.2	17.1	13.4
EBITDA (UBS)	13.6	(1.9)	25.1	56.5	37.1	40.2	17.3	13.5
EBIT (UBS)	9.8	(25.4)	28.0	85.6	47.2	53.7	25.0	18.3
EPS (UBS, diluted)	35.7	(22.4)	15.2	76.0	47.8	55.7	25.9	19.2
Net DPS	(70.7)	NM	(19.7)	3.6	47.8	55.7	25.9	19.2

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	34.6	26.4	26.5	28.7	31.3	35.3	37.0	38.0
EBITDA margin	30.5	26.1	28.3	32.0	34.2	36.8	36.9	36.9
EBIT (UBS) margin	19.5	12.7	14.1	18.8	21.6	25.5	27.3	28.4
Net earnings (UBS) margin	17.4	11.8	11.8	15.0	17.2	20.6	22.2	23.3
ROIC (EBIT)	8.1	4.5	5.3	8.7	11.0	15.1	17.5	19.6
ROIC post tax	7.5	4.2	4.7	7.4	9.4	12.9	14.9	16.6
ROE (UBS)	7.9	4.3	4.8	8.1	11.2	15.9	17.8	18.6

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	0.0	0.4	1.0	1.4	1.4	1.1	0.7	0.4
Net debt / total equity %	(0.2)	3.8	10.9	23.9	30.1	28.1	19.6	11.2
Net debt / (net debt + total equity) %	(0.2)	3.7	9.9	19.3	23.1	22.0	16.4	10.0
Net debt/EV %	2.1	0.8	2.9	1.8	3.0	3.5	3.2	2.4
Capex / depreciation %	NM	NM	NM	NM	NM	NM	170.0	179.8
Capex / revenue %	NM	NM	NM	NM	NM	24.2	16.0	14.9
EBIT / net interest	27.8	51.7	20.4	17.9	19.2	25.1	30.5	39.2
Dividend cover (UBS)	10.4	1.4	2.0	3.3	3.3	3.3	3.3	3.3
Div. payout ratio (UBS) %	9.6	73.1	51.0	30.0	30.0	30.0	30.0	30.0

Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	1,835	2,103	2,424	3,362	4,309	5,611	6,568	7,448
Total	**1,835**	**2,103**	**2,424**	**3,362**	**4,309**	**5,611**	**6,568**	**7,448**

EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	357	266	341	633	932	1,432	1,790	2,118
Total	**357**	**266**	**341**	**633**	**932**	**1,432**	**1,790**	**2,118**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Jinhong Gas (688106.SS)

Income Statement (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**2,427**	**2,525**	**2,777**	**3,661**	*31.8*	**4,206**	*14.9*	**4,682**	**5,225**	**5,820**
Gross profit	898	794	798	1,206	*51.2*	1,527	*26.6*	1,780	2,028	2,300
EBITDA (UBS)	**655**	**587**	**613**	**890**	*45.3*	**1,154**	*29.6*	**1,354**	**1,532**	**1,723**
Depreciation & amortisation	(244)	(290)	(382)	(408)	*-6.8*	(461)	*-12.9*	(505)	(546)	(585)
EBIT (UBS)	**411**	**297**	**231**	**482**	*108.9*	**693**	*43.6*	**849**	**987**	**1,138**
Associates & investment income	6	4	3	0	-	0	-	0	0	0
Other non-operating income	0	0	2	0	-	0	-	0	0	0
Net interest	(17)	(35)	(59)	(77)	*-30.5*	(93)	*-20.8*	(98)	(97)	(94)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**401**	**266**	**177**	**406**	*129.2*	**600**	*48.0*	**751**	**890**	**1,044**
Tax	(73)	(56)	(27)	(62)	*-129.2*	(92)	*-48.0*	(114)	(136)	(159)
Profit after tax	**328**	**210**	**150**	**344**	*129.2*	**509**	*48.0*	**636**	**754**	**885**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(13)	(9)	(18)	(41)	*-129.2*	(61)	*-48.0*	(77)	(91)	(106)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**315**	**201**	**132**	**302**	*129.2*	**447**	*48.0*	**560**	**664**	**778**
Net earnings (UBS)	**315**	**201**	**132**	**302**	*129.2*	**447**	*48.0*	**560**	**664**	**778**
Tax rate (%)	18.1	21.2	15.3	15.3	*0.0*	15.3	*0.0*	15.3	15.3	15.3

Per Share (Rmb)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	0.65	0.42	0.27	0.63	*129.2*	0.93	*48.0*	1.16	1.38	1.61
EPS (local GAAP, diluted)	0.65	0.42	0.27	0.63	*129.2*	0.93	*48.0*	1.16	1.38	1.61
EPS (UBS, basic)	0.65	0.42	0.27	0.63	*129.2*	0.93	*48.0*	1.16	1.38	1.61
DPS (net) (Rmb)	0.31	0.60	0.23	0.31	*34.4*	0.46	*48.0*	0.58	0.69	0.81
Cash EPS (UBS, diluted) [1]	1.15	1.01	1.07	1.47	*38.2*	1.88	*27.9*	2.21	2.51	2.83
Book value per share	6.51	6.36	6.50	6.81	*4.8*	7.28	*6.8*	7.86	8.55	9.35
Average shares (diluted)	486	484	482	482	*0.0*	482	*0.0*	482	482	482

Balance Sheet (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	1,452	1,198	1,035	1,250	*20.8*	1,383	*10.6*	1,554	1,835	2,217
Other current assets	997	1,064	1,147	1,488	*29.7*	1,690	*13.6*	1,870	2,080	2,309
Total current assets	**2,449**	**2,262**	**2,181**	**2,738**	*25.5*	**3,074**	*12.3*	**3,424**	**3,915**	**4,526**
Net tangible fixed assets	2,501	3,248	4,248	4,652	*9.5*	4,904	*5.4*	5,011	5,078	5,106
Net intangible fixed assets	685	614	680	668	*-1.8*	655	*-1.9*	643	630	618
Investments / other assets	604	644	669	669	*0.0*	669	*0.0*	669	669	669
Total assets	**6,240**	**6,767**	**7,778**	**8,727**	*12.2*	**9,302**	*6.6*	**9,748**	**10,293**	**10,919**
Trade payables & other ST liabilities	1,111	946	1,107	1,345	*21.5*	1,440	*7.0*	1,529	1,652	1,782
Short term debt	332	330	855	1,373	*60.6*	1,568	*14.3*	1,568	1,568	1,568
Total current liabilities	**1,443**	**1,276**	**1,962**	**2,718**	*38.5*	**3,008**	*10.7*	**3,098**	**3,220**	**3,351**
Long term debt	1,143	1,874	2,101	2,101	*0.0*	2,101	*0.0*	2,101	2,101	2,101
Other long term liabilities	234	267	313	313	*0.0*	313	*0.0*	313	313	313
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**2,819**	**3,417**	**4,376**	**5,132**	*17.3*	**5,422**	*5.7*	**5,512**	**5,635**	**5,765**
Common s/h equity	**3,171**	**3,064**	**3,132**	**3,283**	*4.8*	**3,507**	*6.8*	**3,787**	**4,119**	**4,508**
Minority interests	249	286	270	311	*15.3*	372	*19.7*	449	540	646
Total liabilities & equity	**6,240**	**6,767**	**7,778**	**8,727**	*12.2*	**9,302**	*6.6*	**9,748**	**10,293**	**10,919**

Cash Flow (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	315	201	132	302	*129.2*	447	*48.0*	560	664	778
Depreciation & amortisation	244	290	382	408	*6.8*	461	*12.9*	505	546	585
Net change in working capital	85	(231)	78	(103)	-	(109)	*-5.6*	(90)	(87)	(99)
Other operating	(207)	278	(116)	41	-	61	*48.0*	77	91	106
Operating cash flow	**437**	**538**	**476**	**649**	*36.4*	**861**	*32.7*	**1,051**	**1,213**	**1,371**
Tangible capital expenditure	(1,024)	(1,005)	(963)	(800)	*16.9*	(700)	*12.5*	(600)	(600)	(600)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(245)	333	89	0	-	0	-	0	0	0
Other investing	(29)	(151)	(152)	0	-	0	-	0	0	0
Investing cash flow	**(1,297)**	**(824)**	**(1,026)**	**(800)**	*22.0*	**(700)**	*12.5*	**(600)**	**(600)**	**(600)**
Equity dividends paid	(152)	(289)	(113)	(151)	*-34.4*	(224)	*-48.0*	(280)	(332)	(389)
Share issues / (buybacks)	60	55	12	0	-	0	-	0	0	0
Other financing	25	42	62	0	-	0	-	0	0	0
Change in debt & pref shares	827	594	572	518	*-9.5*	196	*-62.2*	0	0	0
Financing cash flow	**760**	**402**	**534**	**367**	*-31.4*	**(28)**	-	**(280)**	**(332)**	**(389)**
Cash flow inc/(dec) in cash	**(100)**	**116**	**(15)**	**216**	-	**133**	*-38.3*	**171**	**281**	**382**
FX / non cash items	322	(370)	(148)	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**222**	**(254)**	**(163)**	**216**	-	**133**	*-38.3*	**171**	**281**	**382**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	37.2	44.7	67.2	59.7	40.4	32.3	27.2	23.2
P/E (UBS, diluted)	37.2	44.7	67.2	59.7	40.4	32.3	27.2	23.2
P/CEPS	21.0	18.3	17.3	25.4	19.9	17.0	14.9	13.3
Equity FCF (UBS) yield %	(5.0)	(5.2)	(5.5)	(0.8)	0.9	2.5	3.4	4.3
Dividend yield (net) %	1.3	3.2	1.3	0.8	1.2	1.5	1.8	2.2
P/BV	3.7	2.9	2.8	5.5	5.2	4.8	4.4	4.0
EV/revenues (core)	4.8	3.9	3.8	5.6	4.9	4.4	3.9	3.5
EV/EBITDA (UBS core)	17.8	16.7	17.3	22.9	17.9	15.3	13.4	11.8
EV/EBIT (core)	28.4	33.0	45.9	42.3	29.8	24.3	20.8	17.8
EV/OpFCF (core)	25.0	28.8	24.3	28.7	20.8	17.0	14.7	12.8
EV/op. invested capital	4.0	2.5	2.2	3.7	3.5	3.3	3.2	3.1

Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	11,728	9,025	8,872	18,065	18,065	18,065	18,065	18,065
Net debt (cash)	(239)	514	1,464	2,073	2,255	2,201	1,975	1,644
Buy out of minorities	223	268	278	291	342	411	494	593
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**11,711**	**9,807**	**10,613**	**20,428**	**20,661**	**20,676**	**20,534**	**20,301**
Non core assets	(30)	(28)	(25)	(25)	(25)	(25)	(25)	(25)
Core enterprise value	**11,682**	**9,779**	**10,588**	**20,402**	**20,636**	**20,651**	**20,509**	**20,276**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	23.4	4.0	10.0	31.8	14.9	11.3	11.6	11.4
EBITDA (UBS)	31.8	(10.5)	4.5	45.3	29.6	17.4	13.2	12.4
EBIT (UBS)	49.3	(27.8)	(22.1)	108.9	43.6	22.5	16.2	15.3
EPS (UBS, diluted)	37.1	(35.9)	(34.1)	129.2	48.0	25.1	18.6	17.3
Net DPS	4.5	91.6	(61.1)	34.4	48.0	25.1	18.6	17.3

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	37.0	31.5	28.7	32.9	36.3	38.0	38.8	39.5
EBITDA margin	27.0	23.2	22.1	24.3	27.4	28.9	29.3	29.6
EBIT (UBS) margin	16.9	11.7	8.3	13.2	16.5	18.1	18.9	19.5
Net earnings (UBS) margin	13.0	8.0	4.8	8.3	10.6	12.0	12.7	13.4
ROIC (EBIT)	14.0	7.7	4.8	8.7	11.6	13.6	15.4	17.4
ROIC post tax	11.4	6.0	4.1	7.4	9.8	11.5	13.1	14.8
ROE (UBS)	10.5	6.5	4.3	9.4	13.2	15.3	16.8	18.0

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	0.0	1.7	3.1	2.5	2.0	1.6	1.2	0.8
Net debt / total equity %	0.7	30.0	56.5	61.9	58.9	49.9	39.4	28.2
Net debt / (net debt + total equity) %	0.7	23.1	36.1	38.2	37.1	33.3	28.3	22.0
Net debt/EV %	(2.0)	5.2	13.8	10.1	10.9	10.6	9.6	8.1
Capex / depreciation %	NM	NM	NM	NM	156.1	121.8	112.5	104.8
Capex / revenue %	NM	NM	NM	21.9	16.6	12.8	11.5	10.3
EBIT / net interest	25.0	8.7	4.0	6.3	7.5	8.6	10.2	12.1
Dividend cover (UBS)	2.1	0.7	1.2	2.0	2.0	2.0	2.0	2.0
Div. payout ratio (UBS) %	48.3	144.4	85.3	50.0	50.0	50.0	50.0	50.0

Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	2,427	2,525	2,777	3,661	4,206	4,682	5,225	5,820
Total	**2,427**	**2,525**	**2,777**	**3,661**	**4,206**	**4,682**	**5,225**	**5,820**

EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	411	297	231	482	693	849	987	1,138
Total	**411**	**297**	**231**	**482**	**693**	**849**	**987**	**1,138**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Shandong Sinocera Functional Material (300285.SZ)

Income Statement (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**3,859**	**4,047**	**4,583**	**5,457**	*19.1*	**6,448**	*18.1*	**7,473**	**8,506**	**9,354**
Gross profit	1,460	1,568	1,679	2,063	*22.9*	2,570	*24.6*	3,071	3,524	3,880
EBITDA (UBS)	**961**	**1,069**	**1,074**	**1,214**	*13.0*	**1,606**	*32.3*	**1,987**	**2,298**	**2,541**
Depreciation & amortisation	(238)	(316)	(329)	(188)	*42.8*	(206)	*-9.5*	(222)	(238)	(253)
EBIT (UBS)	**723**	**753**	**746**	**1,026**	*37.6*	**1,400**	*36.4*	**1,764**	**2,060**	**2,287**
Associates & investment income	6	31	30	0	-	0	-	0	0	0
Other non-operating income	(15)	(14)	(10)	0	-	0	-	0	0	0
Net interest	(9)	(9)	(5)	(36)	*NM*	(13)	*62.8*	(12)	(7)	0
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**705**	**761**	**760**	**991**	*30.3*	**1,387**	*40.0*	**1,753**	**2,052**	**2,288**
Tax	(84)	(93)	(90)	(117)	*-30.3*	(164)	*-40.0*	(208)	(243)	(271)
Profit after tax	**621**	**668**	**670**	**873**	*30.3*	**1,222**	*40.0*	**1,545**	**1,809**	**2,017**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(52)	(63)	(60)	(78)	*-30.3*	(109)	*-40.0*	(138)	(162)	(181)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**569**	**605**	**610**	**795**	*30.3*	**1,113**	*40.0*	**1,407**	**1,647**	**1,836**
Net earnings (UBS)	**569**	**605**	**610**	**795**	*30.3*	**1,113**	*40.0*	**1,407**	**1,647**	**1,836**
Tax rate (%)	11.9	12.2	11.8	11.8	*0.0*	11.8	*0.0*	11.8	11.8	11.8

Per Share (Rmb)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	0.57	0.60	0.61	0.80	*30.3*	1.12	*40.0*	1.41	1.65	1.84
EPS (local GAAP, diluted)	0.57	0.60	0.61	0.80	*30.3*	1.12	*40.0*	1.41	1.65	1.84
EPS (UBS, basic)	0.57	0.60	0.61	0.80	*30.3*	1.12	*40.0*	1.41	1.65	1.84
DPS (net) (Rmb)	0.10	0.10	0.15	0.15	*0.0*	0.16	*6.3*	0.22	0.28	0.33
Cash EPS (UBS, diluted) [1]	0.80	0.92	0.94	0.99	*4.7*	1.32	*34.2*	1.63	1.89	2.10
Book value per share	6.29	6.73	7.17	7.82	*9.0*	8.78	*12.2*	9.97	11.34	12.85
Average shares (diluted)	1,004	1,000	997	997	*0.0*	997	*0.0*	997	997	997

Balance Sheet (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	744	652	739	880	*19.1*	1,318	*49.8*	2,104	3,145	4,483
Other current assets	2,923	3,098	3,229	3,736	*15.7*	4,261	*14.0*	4,775	5,271	5,619
Total current assets	**3,667**	**3,750**	**3,968**	**4,616**	*16.3*	**5,579**	*20.9*	**6,879**	**8,416**	**10,101**
Net tangible fixed assets	2,598	2,852	2,993	3,265	*9.1*	3,520	*7.8*	3,708	3,880	4,037
Net intangible fixed assets	2,124	2,126	2,108	2,098	*-0.5*	2,087	*-0.5*	2,077	2,067	2,057
Investments / other assets	390	394	435	435	*0.0*	435	*0.0*	435	435	435
Total assets	**8,780**	**9,123**	**9,504**	**10,413**	*9.6*	**11,621**	*11.6*	**13,099**	**14,798**	**16,630**
Trade payables & other ST liabilities	1,098	1,119	1,107	1,251	*13.1*	1,395	*11.5*	1,551	1,722	1,867
Short term debt	343	248	326	367	*12.7*	367	*0.0*	367	367	367
Total current liabilities	**1,441**	**1,367**	**1,432**	**1,618**	*13.0*	**1,762**	*8.9*	**1,918**	**2,089**	**2,234**
Long term debt	278	343	160	160	*0.0*	160	*0.0*	160	160	160
Other long term liabilities	275	202	205	205	*0.0*	205	*0.0*	205	205	205
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**1,993**	**1,912**	**1,797**	**1,983**	*10.4*	**2,127**	*7.3*	**2,283**	**2,454**	**2,599**
Common s/h equity	**6,313**	**6,714**	**7,152**	**7,798**	*9.0*	**8,752**	*12.2*	**9,936**	**11,302**	**12,808**
Minority interests	473	496	554	633	*14.1*	742	*17.3*	880	1,042	1,223
Total liabilities & equity	**8,780**	**9,123**	**9,504**	**10,413**	*9.6*	**11,621**	*11.6*	**13,099**	**14,798**	**16,630**

Cash Flow (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	569	605	610	795	*30.3*	1,113	*40.0*	1,407	1,647	1,836
Depreciation & amortisation	238	316	329	188	*-42.8*	206	*9.5*	222	238	253
Net change in working capital	3	(189)	(181)	(393)	*-117.5*	(411)	*-4.6*	(392)	(361)	(234)
Other operating	(196)	(4)	31	109	*247.0*	139	*27.8*	171	199	212
Operating cash flow	**614**	**728**	**790**	**699**	*-11.5*	**1,047**	*49.8*	**1,408**	**1,723**	**2,067**
Tangible capital expenditure	(440)	(373)	(404)	(450)	*-11.4*	(450)	*0.0*	(400)	(400)	(400)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(57)	1	13	0	-	0	-	0	0	0
Other investing	(401)	52	2	0	-	0	-	0	0	0
Investing cash flow	**(898)**	**(320)**	**(389)**	**(450)**	*-15.7*	**(450)**	*0.0*	**(400)**	**(400)**	**(400)**
Equity dividends paid	(100)	(100)	(150)	(150)	*0.0*	(159)	*-6.3*	(223)	(281)	(329)
Share issues / (buybacks)	0	0	51	0	-	0	-	0	0	0
Other financing	15	(33)	(84)	0	-	0	-	0	0	0
Change in debt & pref shares	437	(272)	(115)	41	-	0	-	0	0	0
Financing cash flow	**352**	**(405)**	**(297)**	**(108)**	*63.6*	**(159)**	*-47.1*	**(223)**	**(281)**	**(329)**
Cash flow inc/(dec) in cash	**68**	**3**	**104**	**141**	*36.1*	**438**	*210.6*	**785**	**1,041**	**1,338**
FX / non cash items	111	(95)	(17)	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**178**	**(92)**	**87**	**141**	*62.4*	**438**	*210.6*	**785**	**1,041**	**1,338**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	49.5	30.4	32.4	NM	57.3	45.4	38.7	34.8
P/E (UBS, diluted)	49.5	30.4	32.4	80.3	57.3	45.4	38.7	34.8
P/CEPS	34.9	20.0	21.1	64.9	48.4	39.2	33.9	30.5
Equity FCF (UBS) yield %	0.6	1.9	1.9	0.4	0.9	1.6	2.1	2.6
Dividend yield (net) %	0.4	0.5	0.8	0.2	0.2	0.3	0.4	0.5
P/BV	4.5	2.7	2.8	8.2	7.3	6.4	5.6	5.0
EV/revenues (core)	7.3	4.6	4.4	NM	9.9	8.5	7.3	6.6
EV/EBITDA (UBS core)	29.3	17.4	18.6	52.7	39.7	31.8	27.2	24.2
EV/EBIT (core)	38.9	24.7	26.8	62.3	45.5	35.9	30.3	26.9
EV/OpFCF (core)	32.2	19.4	20.9	61.1	44.5	34.6	29.1	25.5
EV/op. invested capital	4.2	2.5	2.6	7.6	7.0	6.4	5.9	5.5

Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	28,163	18,371	19,800	63,821	63,821	63,821	63,821	63,821
Net debt (cash)	(336)	(93)	(157)	(303)	(572)	(1,184)	(2,097)	(3,287)
Buy out of minorities	448	485	525	593	687	811	961	1,132
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**28,275**	**18,763**	**20,168**	**64,112**	**63,936**	**63,449**	**62,685**	**61,667**
Non core assets	(153)	(175)	(187)	(187)	(187)	(187)	(187)	(187)
Core enterprise value	**28,122**	**18,588**	**19,981**	**63,924**	**63,749**	**63,261**	**62,498**	**61,480**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	21.9	4.9	13.2	19.1	18.1	15.9	13.8	10.0
EBITDA (UBS)	31.3	11.2	0.5	13.0	32.3	23.7	15.7	10.6
EBIT (UBS)	28.7	4.1	(1.0)	37.6	36.4	26.0	16.7	11.0
EPS (UBS, diluted)	14.5	6.6	1.3	30.3	40.0	26.4	17.1	11.5
Net DPS	0.0	0.7	49.0	0.0	6.3	40.0	26.4	17.1

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	37.8	38.8	36.6	37.8	39.9	41.1	41.4	41.5
EBITDA margin	24.9	26.4	23.4	22.2	24.9	26.6	27.0	27.2
EBIT (UBS) margin	18.7	18.6	16.3	18.8	21.7	23.6	24.2	24.5
Net earnings (UBS) margin	14.7	14.9	13.3	14.6	17.3	18.8	19.4	19.6
ROIC (EBIT)	10.7	10.1	9.5	12.2	15.3	17.8	19.5	20.5
ROIC post tax	9.5	8.9	8.4	10.8	13.5	15.7	17.2	18.1
ROE (UBS)	9.3	9.3	8.8	10.6	13.5	15.1	15.5	15.2

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	0.6	0.6	0.5	0.4	0.2	(0.2)	(0.5)	(1.0)
Net debt / total equity %	8.8	8.2	6.3	6.3	2.6	(3.4)	(10.1)	(17.4)
Net debt / (net debt + total equity) %	8.1	7.6	5.9	5.9	2.6	(3.6)	(11.2)	(21.1)
Net debt/EV %	1.1	3.2	2.7	0.8	0.6	(0.1)	(1.3)	(3.0)
Capex / depreciation %	NM	127.8	133.7	NM	NM	188.8	175.7	164.5
Capex / revenue %	11.4	9.2	8.8	8.2	7.0	5.4	4.7	4.3
EBIT / net interest	NM	NM	NM	28.8	NM	NM	NM	-
Dividend cover (UBS)	5.7	6.0	4.1	5.3	7.0	6.3	5.9	5.6
Div. payout ratio (UBS) %	17.6	16.7	24.5	18.8	14.3	15.8	17.1	17.9

Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	3,859	4,047	4,583	5,457	6,448	7,473	8,506	9,354
Total	**3,859**	**4,047**	**4,583**	**5,457**	**6,448**	**7,473**	**8,506**	**9,354**

EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	723	753	746	1,026	1,400	1,764	2,060	2,287
Total	**723**	**753**	**746**	**1,026**	**1,400**	**1,764**	**2,060**	**2,287**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Chaozhou Three-Circle (300408.SZ)

Income Statement (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**5,727**	**7,375**	**9,007**	**12,594**	*39.8*	**16,635**	*32.1*	**21,201**	**26,378**	**32,907**
Gross profit	2,281	3,170	3,795	5,498	*44.9*	7,366	*34.0*	9,577	12,008	15,098
EBITDA (UBS)	**1,757**	**2,678**	**3,204**	**4,637**	*44.7*	**6,255**	*34.9*	**7,992**	**9,898**	**12,281**
Depreciation & amortisation	(609)	(659)	(744)	(775)	*-4.1*	(885)	*-14.2*	(974)	(1,048)	(1,123)
EBIT (UBS)	**1,147**	**2,019**	**2,460**	**3,862**	*57.0*	**5,370**	*39.0*	**7,018**	**8,850**	**11,158**
Associates & investment income	57	17	42	7	*-84.2*	0	-	0	0	0
Other non-operating income	427	307	330	293	*-11.2*	360	*22.8*	459	571	712
Net interest	152	176	176	192	*9.0*	270	*40.5*	251	359	528
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**1,783**	**2,519**	**3,008**	**4,354**	*44.8*	**6,000**	*37.8*	**7,727**	**9,780**	**12,398**
Tax	(200)	(329)	(391)	(557)	*-42.3*	(767)	*-37.8*	(988)	(1,250)	(1,585)
Profit after tax	**1,583**	**2,190**	**2,617**	**3,798**	*45.1*	**5,233**	*37.8*	**6,739**	**8,529**	**10,813**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(2)	0	1	(3)	-	(4)	*-37.5*	(4)	(4)	(4)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**1,581**	**2,190**	**2,618**	**3,795**	*44.9*	**5,229**	*37.8*	**6,735**	**8,525**	**10,809**
Net earnings (UBS)	**1,581**	**2,190**	**2,618**	**3,795**	*44.9*	**5,229**	*37.8*	**6,735**	**8,525**	**10,809**
Tax rate (%)	11.2	13.0	13.0	12.8	*-1.7*	12.8	*0.0*	12.8	12.8	12.8

Per Share (Rmb)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	0.82	1.14	1.37	1.98	*44.9*	2.73	*37.8*	3.51	4.45	5.64
EPS (local GAAP, diluted)	0.82	1.14	1.37	1.98	*44.9*	2.73	*37.8*	3.51	4.45	5.64
EPS (UBS, basic)	0.82	1.14	1.37	1.98	*44.9*	2.73	*37.8*	3.51	4.45	5.64
DPS (net) (Rmb)	0.29	0.38	0.38	0.59	*56.3*	0.82	*37.8*	1.05	1.33	1.69
Cash EPS (UBS, diluted) [1]	1.14	1.49	1.75	2.38	*35.9*	3.19	*33.8*	4.02	5.00	6.23
Book value per share	9.51	10.37	11.30	12.90	*14.2*	15.04	*16.5*	17.73	21.13	25.43
Average shares (diluted)	1,917	1,917	1,917	1,917	*0.0*	1,917	*0.0*	1,917	1,917	1,917

Balance Sheet (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	2,842	3,063	3,058	4,071	*33.1*	5,946	*46.1*	8,800	12,833	18,189
Other current assets	8,438	10,539	10,024	12,049	*20.2*	14,354	*19.1*	16,912	19,847	23,538
Total current assets	**11,279**	**13,602**	**13,082**	**16,120**	*23.2*	**20,300**	*25.9*	**25,711**	**32,680**	**41,727**
Net tangible fixed assets	5,103	5,734	6,190	6,915	*11.7*	7,629	*10.3*	8,256	8,808	9,285
Net intangible fixed assets	690	668	694	694	*0.0*	694	*0.0*	694	694	694
Investments / other assets	4,755	3,912	6,541	6,541	*0.0*	6,541	*0.0*	6,541	6,541	6,541
Total assets	**21,827**	**23,916**	**26,506**	**30,270**	*14.2*	**35,165**	*16.2*	**41,202**	**48,723**	**58,247**
Trade payables & other ST liabilities	1,660	2,119	2,941	3,638	*23.7*	4,442	*22.1*	5,313	6,329	7,601
Short term debt	741	475	539	539	*0.0*	539	*0.0*	539	539	539
Total current liabilities	**2,401**	**2,594**	**3,480**	**4,177**	*20.0*	**4,981**	*19.2*	**5,852**	**6,868**	**8,141**
Long term debt	0	0	25	25	*0.0*	25	*0.0*	25	25	25
Other long term liabilities	1,187	1,450	1,338	1,338	*0.0*	1,338	*0.0*	1,338	1,338	1,338
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**3,588**	**4,044**	**4,843**	**5,540**	*14.4*	**6,344**	*14.5*	**7,215**	**8,231**	**9,503**
Common s/h equity	**18,233**	**19,866**	**21,659**	**24,725**	*14.2*	**28,816**	*16.5*	**33,983**	**40,488**	**48,739**
Minority interests	6	6	4	4	*0.0*	4	*0.0*	4	4	4
Total liabilities & equity	**21,827**	**23,916**	**26,506**	**30,270**	*14.2*	**35,165**	*16.2*	**41,202**	**48,723**	**58,247**

Cash Flow (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	1,581	2,190	2,618	3,795	*44.9*	5,229	*37.8*	6,735	8,525	10,809
Depreciation & amortisation	609	659	744	775	*4.1*	885	*14.2*	974	1,048	1,123
Net change in working capital	(3,842)	425	(1,568)	(1,328)	*15.3*	(1,501)	*-13.0*	(1,687)	(1,919)	(2,419)
Other operating	3,371	(872)	1,084	0	-	0	-	0	0	0
Operating cash flow	**1,719**	**2,403**	**2,878**	**3,241**	*12.6*	**4,614**	*42.3*	**6,022**	**7,654**	**9,514**
Tangible capital expenditure	(546)	(639)	(580)	(1,500)	*-158.6*	(1,600)	*-6.7*	(1,600)	(1,600)	(1,600)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	(3,229)	(715)	(244)	0	-	0	-	0	0	0
Investing cash flow	**(3,775)**	**(1,354)**	**(824)**	**(1,500)**	*-82.0*	**(1,600)**	*-6.7*	**(1,600)**	**(1,600)**	**(1,600)**
Equity dividends paid	(479)	(556)	(727)	(728)	*-0.2*	(1,138)	*-56.3*	(1,569)	(2,021)	(2,558)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(6)	(2)	(192)	0	-	0	-	0	0	0
Change in debt & pref shares	650	(650)	25	0	-	0	-	0	0	0
Financing cash flow	**165**	**(1,208)**	**(894)**	**(728)**	*18.5*	**(1,138)**	*-56.3*	**(1,569)**	**(2,021)**	**(2,558)**
Cash flow inc/(dec) in cash	**(1,891)**	**(158)**	**1,160**	**1,013**	*-12.6*	**1,875**	*85.1*	**2,854**	**4,034**	**5,356**
FX / non cash items	223	380	(1,165)	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**(1,668)**	**221**	**(5)**	**1,013**	-	**1,875**	*85.1*	**2,854**	**4,034**	**5,356**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	37.6	26.5	28.9	56.5	41.0	31.8	25.1	19.8
P/E (UBS, diluted)	37.6	26.5	28.9	56.5	41.0	31.8	25.1	19.8
P/CEPS	27.1	20.4	22.5	46.9	35.0	27.8	22.4	18.0
Equity FCF (UBS) yield %	2.0	3.0	3.0	0.8	1.4	2.1	2.8	3.7
Dividend yield (net) %	0.9	1.3	1.0	0.5	0.7	0.9	1.2	1.5
P/BV	3.3	2.9	3.5	8.7	7.4	6.3	5.3	4.4
EV/revenues (core)	9.8	7.6	8.1	NM	NM	9.8	7.7	6.1
EV/EBITDA (UBS core)	32.0	20.8	22.8	45.7	33.5	26.0	20.6	16.2
EV/EBIT (core)	49.0	27.6	29.7	54.8	39.1	29.6	23.1	17.9
EV/OpFCF (core)	73.6	27.0	31.7	56.8	40.2	30.3	23.6	18.3
EV/op. invested capital	3.9	3.3	4.0	10.5	9.4	8.4	7.6	6.7

Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	59,389	58,082	75,577	214,264	214,264	214,264	214,264	214,264
Net debt (cash)	(3,229)	(2,345)	(2,541)	(2,541)	(4,444)	(6,809)	(10,252)	(14,947)
Buy out of minorities	6	6	4	4	4	4	4	4
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**56,166**	**55,743**	**73,041**	**211,728**	**209,824**	**207,460**	**204,016**	**199,322**
Non core assets	(3)	(3)	(3)	(3)	(3)	(3)	(3)	(3)
Core enterprise value	**56,163**	**55,740**	**73,037**	**211,725**	**209,821**	**207,457**	**204,013**	**199,318**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	11.2	28.8	22.1	39.8	32.1	27.4	24.4	24.8
EBITDA (UBS)	(0.4)	52.4	19.7	44.7	34.9	27.8	23.9	24.1
EBIT (UBS)	(5.9)	75.9	21.9	57.0	39.0	30.7	26.1	26.1
EPS (UBS, diluted)	5.1	38.6	19.5	44.9	37.8	28.8	26.6	26.8
Net DPS	16.0	31.0	0.0	56.3	37.8	28.8	26.6	26.8

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	39.8	43.0	42.1	43.7	44.3	45.2	45.5	45.9
EBITDA margin	30.7	36.3	35.6	36.8	37.6	37.7	37.5	37.3
EBIT (UBS) margin	20.0	27.4	27.3	30.7	32.3	33.1	33.6	33.9
Net earnings (UBS) margin	27.6	29.7	29.1	30.1	31.4	31.8	32.3	32.8
ROIC (EBIT)	7.9	12.1	13.5	19.1	24.1	28.5	32.8	37.6
ROIC post tax	7.1	10.5	11.7	16.7	21.0	24.9	28.6	32.8
ROE (UBS)	8.9	11.5	12.6	16.4	19.5	21.5	22.9	24.2

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(1.2)	(1.0)	(0.8)	(0.8)	(0.9)	(1.0)	(1.2)	(1.4)
Net debt / total equity %	(11.5)	(13.0)	(11.5)	(14.2)	(18.7)	(24.2)	(30.3)	(36.2)
Net debt / (net debt + total equity) %	(13.0)	(15.0)	(13.0)	(16.5)	(23.0)	(32.0)	(43.5)	(56.6)
Net debt/EV %	(5.7)	(4.2)	(3.5)	(1.4)	(2.1)	(3.3)	(5.0)	(7.5)
Capex / depreciation %	89.6	97.0	78.0	193.6	180.8	164.3	152.7	142.4
Capex / revenue %	9.5	8.7	6.4	11.9	9.6	7.5	6.1	4.9
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	2.8	3.0	3.6	3.3	3.3	3.3	3.3	3.3
Div. payout ratio (UBS) %	35.2	33.2	27.8	30.0	30.0	30.0	30.0	30.0

Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	5,727	7,375	9,007	12,594	16,635	21,201	26,378	32,907
Total	**5,727**	**7,375**	**9,007**	**12,594**	**16,635**	**21,201**	**26,378**	**32,907**

EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	1,147	2,019	2,460	3,862	5,370	7,018	8,850	11,158
Total	**1,147**	**2,019**	**2,460**	**3,862**	**5,370**	**7,018**	**8,850**	**11,158**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Zhejiang Jiemei Electronic & Technology (002859.SZ)

Income Statement (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**1,572**	**1,817**	**2,100**	**2,948**	*40.3*	**3,951**	*34.0*	**4,735**	**5,784**	**6,807**
Gross profit	539	599	673	1,102	*63.9*	1,485	*34.7*	1,827	2,296	2,755
EBITDA (UBS)	**410**	**411**	**480**	**668**	*39.3*	**981**	*46.8*	**1,269**	**1,648**	**2,021**
Depreciation & amortisation	(135)	(164)	(184)	(79)	*57.1*	(116)	*-46.1*	(143)	(166)	(187)
EBIT (UBS)	**275**	**247**	**295**	**589**	*99.5*	**865**	*46.9*	**1,127**	**1,482**	**1,834**
Associates & investment income	(1)	(4)	(3)	0	-	0	-	0	0	0
Other non-operating income	(1)	(1)	(3)	0	-	0	-	0	0	0
Net interest	13	(26)	(61)	(78)	*-28.3*	(114)	*-47.2*	(142)	(150)	(156)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**285**	**215**	**229**	**511**	*123.1*	**751**	*46.9*	**985**	**1,331**	**1,678**
Tax	(29)	(13)	(26)	(62)	*-143.1*	(99)	*-58.9*	(128)	(200)	(252)
Profit after tax	**256**	**202**	**203**	**449**	*120.6*	**652**	*45.2*	**857**	**1,131**	**1,426**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	16	(7)	-	(15)	*-112.8*	(32)	(59)	(81)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**256**	**202**	**220**	**442**	*101.0*	**637**	*44.1*	**825**	**1,073**	**1,345**
Net earnings (UBS)	**256**	**202**	**220**	**442**	*101.0*	**637**	*44.1*	**825**	**1,073**	**1,345**
Tax rate (%)	10.3	5.8	11.2	12.2	*8.9*	13.2	*8.2*	13.0	15.0	15.0

Per Share (Rmb)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	0.59	0.47	0.51	1.03	*101.0*	1.48	*44.1*	1.91	2.49	3.12
EPS (local GAAP, diluted)	0.59	0.47	0.51	1.03	*101.0*	1.48	*44.1*	1.91	2.49	3.12
EPS (UBS, basic)	0.59	0.47	0.51	1.03	*101.0*	1.48	*44.1*	1.91	2.49	3.12
DPS (net) (Rmb)	0.19	0.44	0.39	0.31	*-21.3*	0.44	*44.1*	0.57	0.75	0.94
Cash EPS (UBS, diluted) [1]	0.90	0.85	0.94	1.21	*28.9*	1.75	*44.4*	2.25	2.88	3.56
Book value per share	6.88	6.83	7.25	7.96	*9.9*	9.00	*13.0*	10.34	12.08	14.27
Average shares (diluted)	434	432	431	431	*0.0*	431	*0.0*	431	431	431

Balance Sheet (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	570	547	596	678	*13.7*	790	*16.5*	900	1,099	1,427
Other current assets	1,004	1,189	1,405	1,909	*35.9*	2,546	*33.4*	2,992	3,578	4,128
Total current assets	**1,574**	**1,736**	**2,001**	**2,587**	*29.3*	**3,336**	*29.0*	**3,892**	**4,677**	**5,555**
Net tangible fixed assets	3,165	4,168	4,673	5,296	*13.3*	5,782	*9.2*	6,192	6,577	6,892
Net intangible fixed assets	263	316	334	332	*-0.6*	330	*-0.6*	327	325	323
Investments / other assets	150	195	247	247	*0.0*	247	*0.0*	247	247	247
Total assets	**5,151**	**6,415**	**7,254**	**8,461**	*16.6*	**9,695**	*14.6*	**10,658**	**11,827**	**13,017**
Trade payables & other ST liabilities	374	551	427	551	*29.0*	736	*33.6*	867	1,039	1,207
Short term debt	518	762	1,586	2,352	*48.4*	2,941	*25.0*	3,162	3,349	3,349
Total current liabilities	**893**	**1,313**	**2,013**	**2,903**	*44.2*	**3,676**	*26.6*	**4,029**	**4,389**	**4,556**
Long term debt	1,150	2,036	1,973	1,973	*0.0*	1,973	*0.0*	1,973	1,973	1,973
Other long term liabilities	130	101	128	128	*0.0*	128	*0.0*	128	128	128
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**2,173**	**3,450**	**4,113**	**5,003**	*21.6*	**5,777**	*15.5*	**6,130**	**6,489**	**6,657**
Common s/h equity	**2,979**	**2,945**	**3,123**	**3,432**	*9.9*	**3,878**	*13.0*	**4,455**	**5,206**	**6,148**
Minority interests	0	20	19	26	*37.6*	41	*58.2*	73	132	212
Total liabilities & equity	**5,151**	**6,415**	**7,254**	**8,461**	*16.6*	**9,695**	*14.6*	**10,658**	**11,827**	**13,017**

Cash Flow (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	256	202	220	442	*101.0*	637	*44.1*	825	1,073	1,345
Depreciation & amortisation	135	164	184	79	*-57.1*	116	*46.1*	143	166	187
Net change in working capital	(101)	(9)	(160)	(378)	*-137.1*	(453)	*-19.6*	(314)	(414)	(382)
Other operating	(71)	(156)	4	5	*43.1*	15	*198.8*	32	59	81
Operating cash flow	**219**	**202**	**248**	**148**	*-40.5*	**315**	*113.3*	**686**	**884**	**1,232**
Tangible capital expenditure	(582)	(1,027)	(821)	(700)	*14.7*	(600)	*14.3*	(550)	(550)	(500)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(86)	0	(29)	0	-	0	-	0	0	0
Other investing	0	(17)	(16)	0	-	0	-	0	0	0
Investing cash flow	**(668)**	**(1,045)**	**(865)**	**(700)**	*19.1*	**(600)**	*14.3*	**(550)**	**(550)**	**(500)**
Equity dividends paid	(83)	(188)	(168)	(133)	*21.3*	(191)	*-44.1*	(248)	(322)	(404)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	20	53	78	0	-	0	-	0	0	0
Change in debt & pref shares	(14)	949	761	767	*0.8*	588	*-23.2*	221	187	0
Financing cash flow	**(77)**	**814**	**671**	**634**	*-5.4*	**397**	*-37.3*	**(26)**	**(135)**	**(404)**
Cash flow inc/(dec) in cash	**(526)**	**(29)**	**53**	**82**	*53.0*	**112**	*37.4*	**110**	**199**	**328**
FX / non cash items	11	6	(4)	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**(516)**	**(23)**	**50**	**82**	*64.3*	**112**	*37.4*	**110**	**199**	**328**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	46.8	43.4	47.0	70.8	49.1	37.9	29.2	23.3
P/E (UBS, diluted)	46.8	43.4	47.0	70.8	49.1	37.9	29.2	23.3
P/CEPS	30.6	23.9	25.6	60.0	41.6	32.3	25.2	20.4
Equity FCF (UBS) yield %	(3.0)	(9.4)	(5.5)	(1.8)	(0.9)	0.4	1.1	2.3
Dividend yield (net) %	0.7	2.1	1.6	0.4	0.6	0.8	1.0	1.3
P/BV	4.0	3.0	3.3	9.1	8.1	7.0	6.0	5.1
EV/revenues (core)	8.1	5.7	6.1	NM	8.9	7.5	6.2	5.2
EV/EBITDA (UBS core)	31.0	25.4	26.9	51.8	35.9	28.0	21.6	17.6
EV/EBIT (core)	46.2	42.3	43.7	58.7	40.6	31.5	24.0	19.3
EV/OpFCF (core)	46.4	51.2	45.6	76.4	45.7	32.4	24.4	19.2
EV/op. invested capital	3.4	2.3	2.3	5.3	4.7	4.2	3.9	3.6

Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	11,916	8,772	10,338	31,298	31,298	31,298	31,298	31,298
Net debt (cash)	822	1,675	2,607	3,305	3,885	4,179	4,229	4,059
Buy out of minorities	0	10	19	22	33	57	102	172
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**12,738**	**10,457**	**12,964**	**34,625**	**35,217**	**35,535**	**35,630**	**35,529**
Non core assets	(22)	(20)	(51)	(51)	(51)	(51)	(51)	(51)
Core enterprise value	**12,716**	**10,436**	**12,913**	**34,574**	**35,166**	**35,484**	**35,579**	**35,478**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	20.8	15.6	15.6	40.3	34.0	19.9	22.1	17.7
EBITDA (UBS)	63.9	0.2	16.7	39.3	46.8	29.4	29.8	22.6
EBIT (UBS)	98.8	(10.3)	19.7	99.5	46.9	30.2	31.5	23.8
EPS (UBS, diluted)	50.1	(20.6)	9.0	101.0	44.1	29.6	30.0	25.4
Net DPS	(34.9)	128.0	(10.3)	(21.3)	44.1	29.6	30.0	25.4

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	34.3	33.0	32.0	37.4	37.6	38.6	39.7	40.5
EBITDA margin	26.1	22.6	22.8	22.7	24.8	26.8	28.5	29.7
EBIT (UBS) margin	17.5	13.6	14.1	20.0	21.9	23.8	25.6	26.9
Net earnings (UBS) margin	16.3	11.1	10.5	15.0	16.1	17.4	18.5	19.8
ROIC (EBIT)	7.5	5.3	5.2	9.0	11.5	13.5	16.3	18.6
ROIC post tax	6.7	5.0	4.7	7.9	10.0	11.7	13.8	15.8
ROE (UBS)	8.9	6.8	7.2	13.5	17.4	19.8	22.2	23.7

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	2.7	5.5	6.2	5.5	4.2	3.3	2.6	1.9
Net debt / total equity %	36.9	75.9	94.3	105.5	105.2	93.5	79.1	61.2
Net debt / (net debt + total equity) %	26.9	43.2	48.5	51.3	51.3	48.3	44.2	38.0
Net debt/EV %	6.5	16.0	20.1	9.5	11.0	11.8	11.9	11.4
Capex / depreciation %	NM	NM	NM	NM	NM	NM	NM	NM
Capex / revenue %	NM	NM	NM	23.7	15.2	11.6	9.5	7.3
EBIT / net interest	-	9.2	4.8	7.6	7.6	8.0	9.8	11.8
Dividend cover (UBS)	3.1	1.1	1.3	3.3	3.3	3.3	3.3	3.3
Div. payout ratio (UBS) %	32.4	93.0	76.6	30.0	30.0	30.0	30.0	30.0

Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	1,572	1,817	2,100	2,948	3,951	4,735	5,784	6,807
Total	**1,572**	**1,817**	**2,100**	**2,948**	**3,951**	**4,735**	**5,784**	**6,807**

EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	275	247	295	589	865	1,127	1,482	1,834
Total	**275**	**247**	**295**	**589**	**865**	**1,127**	**1,482**	**1,834**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Luoyang Longhua Technology (300263.SZ)

Income Statement (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**2,467**	**2,711**	**3,074**	**3,631**	*18.1*	**4,087**	*12.6*	**4,571**	**5,010**	**5,461**
Gross profit	584	606	649	816	*25.6*	990	*21.3*	1,136	1,267	1,394
EBITDA (UBS)	**328**	**338**	**366**	**441**	*20.7*	**567**	*28.5*	**663**	**751**	**833**
Depreciation & amortisation	(87)	(96)	(116)	(74)	*36.3*	(77)	*-4.4*	(80)	(83)	(83)
EBIT (UBS)	**241**	**242**	**249**	**367**	*47.2*	**490**	*33.4*	**583**	**668**	**750**
Associates & investment income	(21)	7	10	0	-	0	-	0	0	0
Other non-operating income	1	(5)	2	0	-	0	-	0	0	0
Net interest	(40)	(50)	(40)	(44)	*-10.1*	(47)	*-5.4*	(46)	(44)	(42)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**181**	**193**	**221**	**323**	*46.2*	**443**	*37.2*	**538**	**623**	**707**
Tax	(39)	(43)	(28)	(41)	*-46.2*	(56)	*-37.2*	(68)	(79)	(89)
Profit after tax	**142**	**150**	**193**	**282**	*46.2*	**387**	*37.2*	**470**	**545**	**618**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(15)	(19)	(3)	0	-	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**127**	**131**	**190**	**282**	*48.5*	**387**	*37.2*	**470**	**545**	**618**
Net earnings (UBS)	**127**	**131**	**190**	**282**	*48.5*	**387**	*37.2*	**470**	**545**	**618**
Tax rate (%)	21.4	22.5	12.6	12.6	*0.0*	12.6	*0.0*	12.6	12.6	12.6

Per Share (Rmb)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	0.14	0.14	0.20	0.27	*39.1*	0.37	*37.2*	0.45	0.53	0.60
EPS (local GAAP, diluted)	0.14	0.14	0.20	0.27	*39.1*	0.37	*37.2*	0.45	0.53	0.60
EPS (UBS, basic)	0.14	0.14	0.20	0.27	*39.1*	0.37	*37.2*	0.45	0.53	0.60
DPS (net) (Rmb)	0.06	0.07	0.10	0.03	*-71.7*	0.04	*37.2*	0.05	0.05	0.06
Cash EPS (UBS, diluted) [1]	0.24	0.25	0.32	0.34	*9.0*	0.45	*30.4*	0.53	0.61	0.68
Book value per share	3.49	3.58	3.98	4.22	*6.2*	4.56	*8.0*	4.97	5.44	5.98
Average shares (diluted)	904	904	970	1,035	*6.7*	1,035	*0.0*	1,035	1,035	1,035

Balance Sheet (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	889	815	1,087	1,210	*11.3*	1,419	*17.2*	1,704	2,048	2,462
Other current assets	2,589	2,965	3,181	3,607	*13.4*	3,885	*7.7*	4,181	4,438	4,684
Total current assets	**3,478**	**3,779**	**4,268**	**4,817**	*12.9*	**5,304**	*10.1*	**5,885**	**6,485**	**7,147**
Net tangible fixed assets	816	1,116	1,154	1,191	*3.2*	1,205	*1.2*	1,216	1,243	1,271
Net intangible fixed assets	951	907	808	796	*-1.4*	785	*-1.4*	774	763	752
Investments / other assets	1,078	1,104	1,087	1,087	*0.0*	1,087	*0.0*	1,087	1,087	1,087
Total assets	**6,323**	**6,906**	**7,316**	**7,891**	*7.9*	**8,381**	*6.2*	**8,962**	**9,579**	**10,257**
Trade payables & other ST liabilities	1,518	1,628	1,812	2,033	*12.2*	2,174	*6.9*	2,333	2,459	2,581
Short term debt	457	542	485	585	*20.5*	585	*0.0*	585	585	585
Total current liabilities	**1,975**	**2,170**	**2,297**	**2,618**	*14.0*	**2,759**	*5.4*	**2,917**	**3,044**	**3,166**
Long term debt	999	1,281	727	727	*0.0*	727	*0.0*	727	727	727
Other long term liabilities	66	72	98	98	*0.0*	98	*0.0*	98	98	98
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**3,040**	**3,522**	**3,122**	**3,443**	*10.3*	**3,584**	*4.1*	**3,742**	**3,869**	**3,991**
Common s/h equity	**3,157**	**3,240**	**4,116**	**4,369**	*6.2*	**4,718**	*8.0*	**5,141**	**5,631**	**6,187**
Minority interests	127	144	79	79	*0.0*	79	*0.0*	79	79	79
Total liabilities & equity	**6,323**	**6,906**	**7,316**	**7,891**	*7.9*	**8,381**	*6.2*	**8,962**	**9,579**	**10,257**

Cash Flow (Rmbm)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	127	131	190	282	*48.5*	387	*37.2*	470	545	618
Depreciation & amortisation	87	96	116	74	*-36.3*	77	*4.4*	80	83	83
Net change in working capital	(211)	(265)	(32)	(204)	*NM*	(137)	*32.8*	(138)	(130)	(125)
Other operating	95	(56)	102	0	-	0	-	0	0	0
Operating cash flow	**98**	**(95)**	**376**	**152**	*-59.6*	**327**	*115.4*	**412**	**499**	**576**
Tangible capital expenditure	(213)	(284)	(105)	(100)	*5.0*	(80)	*20.0*	(80)	(100)	(100)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	278	15	(98)	0	-	0	-	0	0	0
Other investing	0	0	0	0	-	0	-	0	0	0
Investing cash flow	**65**	**(270)**	**(203)**	**(100)**	*50.8*	**(80)**	*20.0*	**(80)**	**(100)**	**(100)**
Equity dividends paid	(51)	(59)	(93)	(28)	*69.7*	(39)	*-37.2*	(47)	(54)	(62)
Share issues / (buybacks)	1	0	0	0	-	0	-	0	0	0
Other financing	40	50	66	0	-	0	-	0	0	0
Change in debt & pref shares	(66)	311	88	100	*12.6*	0	-	0	0	0
Financing cash flow	**(77)**	**302**	**61**	**71**	*16.9*	**(39)**	-	**(47)**	**(54)**	**(62)**
Cash flow inc/(dec) in cash	**86**	**(62)**	**234**	**123**	*-47.3*	**208**	*69.0*	**285**	**344**	**414**
FX / non cash items	(5)	(12)	39	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**81**	**(74)**	**272**	**123**	*-54.8*	**208**	*69.0*	**285**	**344**	**414**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
P/E (local GAAP, diluted)	55.7	43.1	39.8	43.5	31.7	26.2	22.5	19.9
P/E (UBS, diluted)	55.7	43.1	39.8	43.5	31.7	26.2	22.5	19.9
P/CEPS	33.0	24.9	24.7	34.5	26.5	22.3	19.6	17.5
Equity FCF (UBS) yield %	(1.6)	(6.7)	3.6	0.4	2.0	2.7	3.2	3.9
Dividend yield (net) %	0.7	1.0	1.2	0.2	0.3	0.4	0.4	0.5
P/BV	2.2	1.7	2.0	2.8	2.6	2.4	2.2	2.0
EV/revenues (core)	2.9	2.3	2.5	3.3	2.9	2.6	2.3	2.0
EV/EBITDA (UBS core)	21.9	18.4	21.3	27.6	21.2	17.8	15.3	13.3
EV/EBIT (core)	29.9	25.7	31.3	33.1	24.6	20.2	17.2	14.8
EV/OpFCF (core)	29.6	27.3	23.0	32.0	23.0	19.0	16.3	14.1
EV/op. invested capital	2.3	1.7	1.9	3.0	2.8	2.7	2.5	2.4

Enterprise value (Rmbm)	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
Market cap.	7,065	5,651	7,440	12,286	12,286	12,286	12,286	12,286
Net debt (cash)	426	787	566	113	(3)	(250)	(564)	(944)
Buy out of minorities	120	135	111	79	79	79	79	79
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**7,611**	**6,573**	**8,117**	**12,477**	**12,361**	**12,115**	**11,800**	**11,421**
Non core assets	(406)	(367)	(324)	(324)	(324)	(324)	(324)	(324)
Core enterprise value	**7,205**	**6,207**	**7,793**	**12,153**	**12,037**	**11,790**	**11,476**	**11,097**

Growth (%)	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
Revenue	7.2	9.9	13.4	18.1	12.6	11.8	9.6	9.0
EBITDA (UBS)	66.2	2.8	8.3	20.7	28.5	17.0	13.2	10.9
EBIT (UBS)	107.1	0.4	3.1	47.2	33.4	19.1	14.5	12.3
EPS (UBS, diluted)	98.2	3.4	35.3	39.1	37.2	21.4	16.0	13.4
Net DPS	(52.3)	14.6	48.2	(71.7)	37.2	21.4	16.0	13.4

Margins & Profitability (%)	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
Gross profit margin	23.7	22.3	21.1	22.5	24.2	24.9	25.3	25.5
EBITDA margin	13.3	12.5	11.9	12.1	13.9	14.5	15.0	15.2
EBIT (UBS) margin	9.8	8.9	8.1	10.1	12.0	12.8	13.3	13.7
Net earnings (UBS) margin	5.1	4.8	6.2	7.8	9.5	10.3	10.9	11.3
ROIC (EBIT)	7.5	6.5	6.2	8.9	11.4	13.1	14.6	15.9
ROIC post tax	6.1	5.0	5.4	7.8	10.0	11.5	12.7	13.9
ROE (UBS)	4.1	4.1	5.2	6.7	8.5	9.5	10.1	10.5

Capital structure & Coverage (x)	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
Net debt / EBITDA	1.7	3.0	0.3	0.2	(0.2)	(0.6)	(1.0)	(1.4)
Net debt / total equity %	17.3	29.8	3.0	2.3	(2.2)	(7.5)	(12.9)	(18.4)
Net debt / (net debt + total equity) %	14.7	22.9	2.9	2.2	(2.3)	(8.1)	(14.8)	(22.5)
Net debt/EV %	5.6	12.0	7.0	0.9	0.0	(2.1)	(4.8)	(8.3)
Capex / depreciation %	NM	NM	124.6	159.1	121.1	115.8	138.6	139.0
Capex / revenue %	8.6	10.5	3.4	2.8	2.0	1.8	2.0	1.8
EBIT / net interest	5.5	5.0	6.5	8.3	10.5	12.8	15.1	17.7
Dividend cover (UBS)	2.5	2.2	2.0	10.0	10.0	10.0	10.0	10.0
Div. payout ratio (UBS) %	40.5	44.9	49.2	10.0	10.0	10.0	10.0	10.0

Revenues by division (Rmbm)	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
Others	2,467	2,711	3,074	3,631	4,087	4,571	5,010	5,461
Total	**2,467**	**2,711**	**3,074**	**3,631**	**4,087**	**4,571**	**5,010**	**5,461**

EBIT (UBS) by division (Rmbm)	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
Others	241	242	249	367	490	583	668	750
Total	**241**	**242**	**249**	**367**	**490**	**583**	**668**	**750**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Valuation Method and Risk Statement

We use a DCF method to derive our price targets for Guanggang Gas, Jinhong Gas, Jiemei, Sinocera, Longhua, Capchem . We value Three-Circle using a PE method. We value Dongyue using SOTP.

We think electronic gas makers face the following major downside risks: 1) geopolitical events may affect the development of the domestic semi value chain, 2) downstream demand is likely beholden to the value chain's overall localisation; and 3) technology shifts may lead to changes in demand for various ESG types. Major upside risks include: 1) fast semiconductor demand growth fuelled by new technologies such as AI; and 2) potentially sharp price hikes resulting from supply fluctuations of electronic specialty gases, given relatively rigid demand downstream.

We believe the major risks for China's MLCC sector include: 1) earnings undershooting due to an industry inventory correction; 2) oversupply caused by capacity expansion and earnings contraction due to price competition; 3) the growth of emerging downstream applications may disappoint the market due to uncertainty; 4) Chinese companies' competitiveness relative to Japanese/Korean peers may be sensitive to FX; and 5) supply chain stability is likely to be disrupted by tariffs and geopolitics.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Luoyang Longhua Technology

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Shandong Sinocera Functional Material

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
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Question	Response
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Chaozhou Three-Circle

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Zhejiang Jiemei Electronic & Technology

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Question	Response
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10. Is the catalyst date an actual or approximate date?	
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Jinhong Gas

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10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Guangzhou Guanggang Gas & Energy

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Question	Response
10. Is the catalyst date an actual or approximate date?	N/A
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Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS AG Hong Kong Branch: Eason Tang.**UBS Securities Co. Limited:** Amily Guo, Cheryl Wen, Jay LIN, Richard Li.

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Company Name	Reuters	12-month rating	Price	Price date
Chaozhou Three-Circle	300408.SZ	Buy	Rmb111.80	13 Jul 2026
Dongyue Group[28]	0189.HK	Buy	HK$13.47	13 Jul 2026
Guangzhou Guanggang Gas & Energy	688548.SS	Buy	Rmb44.27	13 Jul 2026
Jinhong Gas	688106.SS	Buy	Rmb37.48	13 Jul 2026
Luoyang Longhua Technology	300263.SZ	Buy	Rmb11.87	13 Jul 2026
Shandong Sinocera Functional Material	300285.SZ	Buy	Rmb64.01	13 Jul 2026
Shenzhen Capchem Technology	300037.SZ	Buy	Rmb67.41	13 Jul 2026
Zhejiang Jiemei Electronic & Technology	002859.SZ	Buy	Rmb72.58	13 Jul 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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